

IN PRIVATE

Case No: BV20D01752

IN THE HIGH COURT OF JUSTICE
FAMILY DIVISION

Royal Courts of Justice
Strand, London
WC2A 2LL

Date of hearing: 20 February 2024

Start Time: 10:34 Finish Time: 15.37

Before:

MR JUSTICE MacDONALD

Between:

NADIA ZAHMOUL

Applicant

- and -

KARIM ZAHMOUL

Respondent

MR B MOLYNEUX KC (instructed by **AFP Bloom Solicitors**) for the **Applicant**

MS A CAMPBELL KC and **MS S-A AMAOUCHE** (instructed by **Stowe Family Law**) for
the **Respondent**

PROCEEDINGS
IN PRIVATE

If this Transcript is to be reported or published, there is a requirement to ensure that no reporting restriction will be breached. This is particularly important in relation to any case involving a sexual offence, where the victim is guaranteed lifetime anonymity (Sexual Offences (Amendment) Act 1992), or where an order has been made in relation to a young person.

This Transcript is Crown Copyright. It may not be reproduced in whole or in part other than in accordance with relevant licence or with the express consent of the Authority. All rights are reserved.

Digital Transcription by Marten Walsh Cherer Ltd
2nd Floor, Quality House, 6-9 Quality Court, Chancery Lane, London WC2A 1HP
Tel No: 020 7067 2900. DX: 410 LDE
Email: info@martenwalshcherer.com
Web: www.martenwalshcherer.com

(Transcript prepared without access to case documentation)

A

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: Good morning, my Lord. You know the personnel.

MR JUSTICE MacDONALD: Yes.

B

MR MOLYNEUX: I was appearing on behalf of Mrs Zahmoul on the last occasion. Ms Campbell KC has appeared on behalf of Mr Zahmoul previously, not on the last occasion, but appears for the trial.

MR JUSTICE MacDONALD: Yes.

C

MR MOLYNEUX: And Ms Amaouche sits behind her as a new entrant.

MR JUSTICE MacDONALD: Yes.

D

MR MOLYNEUX: Can I just apologise first of all for the gross lateness of the production of my position statement. I have explained and I apologise again for that. I should say on behalf of Mrs Zahmoul that she did attempt yesterday afternoon to confirm that the contents of it were agreed, alongside her section 25 statement, and there was some difficulties with the transmission of that email, which she has confirmed to those instructing me. So, we still have been very late, but it would not have been quite as late as it ended up being. So that is no real excuse, but just an explanation of the end game for that lateness.

E

I should say, and I know that Ms Campbell has already referenced this in her note, that whilst you have seen Mr Zahmoul's section 25 statement, because it was filed, I think on time ----

F

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: -- you will not have seen my client's because that was not produced until yesterday.

G

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Indeed, Ms Campbell and her team have only seen that literally in the last few minutes. They have not had a chance to read it. They have not had an opportunity to determine whether any of the material in it is privileged or should not be admitted, it being a document that has been prepared fundamentally by my client herself.

H

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Understandably, I would have to accept they will want the opportunity to read that. I want the opportunity to read Mr Zahmoul's statement as well as to reflect on the contents of Mrs Zahmoul's. So I am going to ask that Ms Campbell agrees to this

A

for an hour, but I think that the one qualification that she would make is that she has an opportunity before you look at it to skim it over the course of 15 minutes and then to return to you at the end of that 15 minutes, if need be, to tell you: please do not read it because this is inadmissible.

B

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Now I do not know whether she will do that or not, but she obviously wants the opportunity. I do not object to that at all.

C

MR JUSTICE MacDONALD: Well, I have not read it because, given its lateness and the fact it is in breach of a direction, you will, Mr Molyneux, need permission to rely on it.

MR MOLYNEUX: I will, yes.

MR JUSTICE MacDONALD: And I took the view that I should not therefore read the statement until I have determined that permission application in any event.

D

MR MOLYNEUX: My Lord, yes.

MR JUSTICE MacDONALD: I will maintain that position until I hear further.

MR MOLYNEUX: I am grateful.

MR JUSTICE MacDONALD: In the first instance I will allow... Sorry, Ms Campbell.

E

MS CAMPBELL: No, my Lord. I will come back to you, as I say, I anticipate within the next 15 minutes to let you know whether we are happy for you to read it.

MR JUSTICE MacDONALD: Well, if you could send an email to my clerk with that indication, that will make the position clear.

F

MS CAMPBELL: Thank you. Thank you, my Lord.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: I hope by now you have also received the final version of the single joint expert crypto report, because the one that I think was in the bundle was a previous iteration. There have been three of them, or four of them.

G

MR JUSTICE MacDONALD: I am not sure that I have. Unfortunately, Mr Molyneux, my clerk is ill. I will just check with her whether she is still receiving and dealing with emails, and if not, we will provide you with an alternative email for you to send that to.

H

MR MOLYNEUX: I am grateful. I know that Ms Knight emailed seeking the final version of it. I think that has now been sent to her.

MR JUSTICE MacDONALD: I see.

MR MOLYNEUX: But it might be that you prefer a hard copy or a soft copy. I am in your hands.

IN PRIVATE

A

MR JUSTICE MacDONALD: I will take a hard copy, yes. That is probably the easiest way to do it. Then I can be certain I have it. Yes, 25 to 12.

MR MOLYNEUX: Thank you very much.

MR JUSTICE MacDONALD: Thank you very much.

B

MS CAMPBELL: Thank you.

(A short adjournment)

MR JUSTICE MacDONALD: Yes.

C

MR MOLYNEUX: Thank you for the time that you have given us. I am going to hand over to Ms Campbell because I know she wants to make an application in relation to the statement. I know, to foreshadow what will follow, that I will require some time to take instructions and maybe to reflect more broadly on where this application will take us.

MR JUSTICE MacDONALD: I see. Yes, Ms Campbell.

D

MS CAMPBELL: Thank you, my Lord. We wanted to come back in so that we were not keeping you waiting in the dark, and at the very least, Mr Pinto is outside, so that is one aspect ----

MR JUSTICE MacDONALD: Indeed.

E

MS CAMPBELL: -- that we can continue with. Having read the statement quickly, but I am fairly certain that there is nothing in there that will prejudice either Mr Molyneux or myself in carrying on to our examination of Mr Pinto.

MR JUSTICE MacDONALD: I see.

F

MS CAMPBELL: So, that can proceed. Let me deal then with the statement, if I may.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Alexis, you just carry on, okay. This is not meant to be a rude interruption.

G

MS CAMPBELL: Of course. I object to the statement being admitted in its current form.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: I am content for it to be admitted if all conduct references are redacted.

H

There is a very simple way of doing this and I will not give you any detail other than to say there are paragraphs 9 through to 26 ----

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- which are all under the heading of "conduct". You will know that you made very clear directions for conduct pleadings. Those were filed very late, in detail and at length. Mrs Zahmoul has had her opportunity to plead conduct.

IN PRIVATE

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: It is not appropriate to use a Section 25 statement to further elaborate and expand on an argument that was specifically dealt with elsewhere.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: Just by way of detail, my client has difficulty reading English and reading generally and has dyslexia. He reads long documents by way of having them read back to him over his telephone.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: So, he feeds them in and then reads back to him. So he has not yet had an opportunity to read this. This is for my reading of the documents. But I am content and he is prepared to be bound by me now to allow that statement to proceed in, if we can agree those redactions.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: What I am not prepared to do is to waste court time outside trying to negotiate with Mr Molyneux. Those paragraphs are all under two separate headings of "conduct".

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: They are very clearly conducted. It is self-contained. It can be easily removed.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: That is the first part. The second part is that behind the statement there are then some 110 pages thereabouts of various exhibits.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: Some of these are tables that we have seen before but appear to be slightly different.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: I am going to need time to look at those so I have reserve my position in relation to those tables.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: Then follows another document at page 26 which is effectively another statement in a statement. So, it is a statement. I have not read it. It should not be an exhibit. It is a free-floating statement. That should come out.

MR JUSTICE MacDONALD: Yes.

5

Marten Walsh Cherer Ltd

A MS CAMPBELL: I have expressed some of this to Mr Molyneux and he is aware of this.

Pages 35 through to 40 are repeats of what is already in the bundle. They add nothing.
They are my client's documents.

MR JUSTICE MacDONALD: Yes.

B MS CAMPBELL: They should come out. There are more tables, again, which I reserve the
right to consider. That is at 41 through to 53.

MR JUSTICE MacDONALD: Yes.

C MS CAMPBELL: Then at 54 through to -- well, 54 certainly through to 56 is a statement
from a direct lawyer who acts on behalf of Mrs Zahmoul. It is dated 12 February. We
have never seen it before. It presents as a legal document from a lawyer expressing his
view. That seems to me to be an attempt to adduce expert evidence ----

MR JUSTICE MacDONALD: Yes.

D MS CAMPBELL: -- and there is no permission for this. I have no means to question this
expert, so that should come out. And there is a risk that this is of course waiving
privilege, which is another argument I have not yet considered.

MR JUSTICE MacDONALD: No.

E MS CAMPBELL: Then at 60 onwards is another statement from an accountant, which again
appears to be an expert document. It refers to his qualifications: Jeff Wilkinson. There
are two documents related to him, one dated 13 February and one 16 February. Again,
you gave very clear directions about expert evidence. We have had a multitude of
opportunities to receive and consider expert evidence, none of which was served
F anywhere near the time limits that you directed, my Lord.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: So, they should come out. And then there are more tables, again, as I have
said, which I have reserved my position in relation to.

G MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: Then at internal page 58, of the report bundle or the statement bundle 83,
there is another affidavit from the wife, which is just another freestanding affidavit ----

MR JUSTICE MacDONALD: Right.

H MS CAMPBELL: -- which needs to come out. And then there are a number of detailed
tables and schedules which look like further tables of evidence which I have not had an
opportunity to look at. So, in summary, my Lord, I make this application. Either the
whole document is not admitted; or the body of the statement, except for the conduct

A allegations, is allowed in. There is material which I think this court will find helpful, my Lord. There is a lot of material with relates to income needs, expenditure.

MR JUSTICE MacDONALD: Yes.

B MS CAMPBELL: I can understand the need for that to go in. But all of the exhibits I ask to be held back, although a ruling was made in relation to the internal affidavits, the expert evidence that I have identified. And then Ms Amaouche and I will consider the more detailed documents, probably overnight, and I imagine we will be able to either agree with Mr Molyneux what can go in, or if we have to have a discussion about it, we can do that tomorrow morning when we have an opportunity to review them.

C MR JUSTICE MacDONALD: Yes. Thank you very much indeed. Mr Molyneux.

MR MOLYNEUX: My Lord, I did not get a complete note of those parts of the exhibit in respect of which redaction is sought. I will need to speak to Ms Campbell about that.

D MR JUSTICE MacDONALD: Yes.

E MR MOLYNEUX: Let me just make some more broad-brush observations and then look at the statements themselves. My client, and this is something to say she feels passionately about would probably not do justice to the strength of her feelings, or indeed the nexus between feeling that her story has been told, that her voice has been heard, and her capacity to participate in these proceedings. She was extremely -- extremely distressed outside court at the prospect of the section 25 statement that she had always thought of as being her opportunity to tell her story, her lived experience, and finding now at the 11th hour, a minute to midnight, that that was going to be redacted, that she would be stopped from doing that.

F I understand everything that Ms Campbell has said about conduct and conduct statements and the duplication of some elements of this statement with the conduct statement, but that is of course something that both parties have done and it would be wrong, I think, in my respectful submission, to penalise one without adopting a similar approach to the other. It may well be better, having regard to what I say about the strength of my client's feelings, and everybody wants this litigation to be resolved over the course of the next 10 days without any further adjournments or any further mishaps, it would be wrong to redact her statement and to leave the husband's statement untouched. It would be wrong to redact her statement full stop, would be my primary submission.

A Can I just say that if you look at Mr Zahmoul's statement, which you have read, which is already within the court documents, because I am not objecting to it, or I have not objected to it, and indeed you read it before; you had an opportunity to discover whether anyone objected to it, but if you look at it, on the third page, at paragraph 16 -- and again, this is according to Mr Zahmoul, background.

B
C
D "Around May 2010, Nadia initiated a relationship with Professor Stebbing (mother's oncologist). I learned about the affair from Amy's Stebbing only in 2012 from Professor Stebbing's wife at the time. I was quite shocked to learn that Nadia was having an affair with Professor Stebbing. She attended a six-week rehab programme in Cottonwood, Arizona, and I accompanied her during the Family Week to help people struggling with addiction. Despite my awareness of her infidelity, I stood by her and tried to help her to the best of my ability and help her as the mother of my children to recover. After returning from Cottonwood, she relapsed into alcohol and cocaine addiction. Her infidelity continued. Her four-year affair resulted in a pregnancy which was terminated in July 2013. Due to her affair and health as well as alcohol and drug addiction, our relationship continued to deteriorate..."

E That continued before becoming resurrected again as we move through the statement and we arrive at paragraph 67, because there Mr Zahmoul dedicates the next 20 paragraphs, certainly the next 18 paragraphs, to conduct.

F "The conduct of each of the parties if that conduct is such that it would, in the opinion of the court, be inequitable to disregard it."

F Indeed, at the beginning of the next page, paragraph 71, he purports to attach to this a transcript of a conversation with his daughters as illustration of what he says is my client's poor conduct.

G So what this Campbell objects to on the part of my client is exactly what her client has done and how he has approached this. So you might ----

MR JUSTICE MacDONALD: Was it on time, Mr Molyneux?

MR MOLYNEUX: We have that done that on time, absolutely but the timing does not detract from the duplication of material from his previous conduct statement and its repetition in this.

H MR JUSTICE MacDONALD: No. The timing brings the wife's statement well outside of the rules.

A MR MOLYNEUX: It does, and I appreciate that I would need your permission to rely on it
because she is in breach of that rule. But he is in breach of -- if there is a prohibition on
conduct he would be in breach of that and I think that the principal objection is not the
lateness; it is more the material because my learned friend accepts that the statement
B should go in, save for these parts which she says are impermissible. So, just drawing
those strands together, what is good for Mr Zahmoul should be good for Mrs Zahmoul.

C It is important in a case, in my respectful submission, where the parties have
committed so much blood and treasure to the litigation that at the end of the litigation
they should each have felt that their voices have been heard. This is a very, very
important part of her presentation and one I suspect that she would wish to articulate
orally in the event even that it was redacted, although I understood that the court would
D prohibit that. She, of course, would have to take notice of what the court says, but I
know that it would leave her with a profound feeling of unhappiness and regret were she
not able to participate properly, as she would see it, in the proceedings by setting out her
account of the background -- and this to her is as much background as the date when the
parties married, the date when their children were born, their ages and their occupations.

E MR JUSTICE MacDONALD: I have, do I not, already her evidence regarding conduct. It is
all set out in documents that were filed, albeit not on time, but filed with sufficient notice
to the other side to make the reliance on it fair.

F MR MOLYNEUX: My Lord, yes. What she did in her conduct statement, to be fair to her,
was to focus on financial conduct, financial misconduct, whereas what Mr Zahmoul has
done is to elide what he regards as being financial conduct with a broad sprinkling of or
a seasoning of marital misconduct. My client wants to set that record straight, wants you
to understand the reality of the party's relationship and does not want to feel at this very,
G very late stage shut out. The advantages, in my very respectful submission, if I can
gently push at this door before it closes, the advantages to the parties and to the court of
being able to get on with things, of you attaching whatever weight you think should be
attached to this and disregarding what you think should be disregarded, may well
H outweigh the technical advantage of strict observance with the rules or strict prevention
of material being advanced at a late stage.

MR JUSTICE MacDONALD: I understand.

MR MOLYNEUX: I will sit down.

MS CAMPBELL: My Lord, there comes a point when the court has to back its own orders.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: There may be some substance in what Mr Molyneux says, but it is too late. There comes a point when the court makes a direction for proper filing and the parties should have had an opportunity to consider each other's documents. If this had proceeded as you directed, as you ordered, I could have had a conversation with Mr Molyneux and we could have each agreed and made representations about parts that were to come out.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: Because I have been robbed of that opportunity, it is not fair now for Mr Molyneux to lean on his conduct, or his client's poor conduct, and say you should deal fairly with both parties in the presentation of their cases, because Mrs Zahmoul feels strongly about it. The direction you made as long ago as 1 November for conduct to be pleaded by 12 December. My client complied with that direction on time. The wife did not file hers until 16 January and then today, at 10:29, I have sight of another four or five pages -- and it is simply not appropriate for these orders to be ignored. It is not appropriate for Mr Molyneux to then make substantive arguments about how far either party has stretched the boundaries of the court's patience. It simply should not be permitted, and I should not have to respond to those arguments at this late stage.

MR JUSTICE MacDONALD: Thank you. Now, Ms Campbell, I have heard submissions from both of you. Do you invite me now to read the statement or to pronounce on it on the basis of the submissions I have heard? Because of course the disadvantage I have at the moment is that I have obeyed the instruction from counsel not to read it.

MS CAMPBELL: My Lord, in my submission, you do not need to read it. The broad description that Mr Molyneux and I both agreed on, we have not got any issue between us as to the substance. I say that the conduct should be ignored because it is too late. Mr Molyneux says, well the conduct -- allow it because the husband has breached a little bit too.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: My Lord, I say that it is too late for that substantive argument. That opportunity has gone.

MR JUSTICE MacDONALD: Thank you.

(See separate transcript for judgment)

A MS CAMPBELL: My Lord, I am very grateful. What you will not know because you haven't read the documents, and I apologise, but one paragraph, paragraph 21, effectively lifts a whole section of one of the affidavits in the exhibits. So that needs to come out ----

B MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- as a means of your earlier ruling. So if that can be redacted, then everything else can go ahead.

MR JUSTICE MacDONALD: Thank you very much. Yes, Mr Molyneux.

C MR MOLYNEUX: I think we can start.

MR JUSTICE MacDONALD: Mr Pinto, I believe.

MR MOLYNEUX: Yes. I was not going to open because ----

D MR JUSTICE MacDONALD: I had an opportunity, if it assists, Mr Molyneux, obviously to read the extremely helpful documents provided by leading and junior counsel. I have also had an opportunity to read those parts of the reading list that were sent through. And obviously over the last hour I have had an opportunity to read full the latest iteration of Mr Pinto's report.

E MR MOLYNEUX: I am very grateful, thank you.

Mr MARLON PINTO, Sworn

Examined by MR MOLYNEUX

THE WITNESS: My Lord, my name is Marlon Pinto.

F MR JUSTICE MacDONALD: Thank you. Do take a seat if you would be more comfortable. Yes, Mr Molyneux.

MR MOLYNEUX: Good morning. Can you give the judge your full name, please, and your professional address?

G A. My Lord, name is Marlon Pinto. I am Director of Investigations of Another Day. We're based at 67 Lombard Street, London.

Q. You have produced a number of reports. I am not going to slavishly take you through the bundle so you can confirm them because we all understand that the latest iteration, which is dated 16 February, is probably the one we should focus on?

H A. Yes, my Lord.

Q. I know you are not here to do continuing education for the Bar, but if you will indulge me for a moment, because you will understand that these -- although I suspect Mr Zahmoul is very familiar with it and I know Mrs Zahmoul has a degree of familiarity,

A

but it may be that the others in the courtroom do not have as much familiarity as they or, of course, you do. So just help me with a few things. When we talk about accounts and wallets, is there a distinction or is that a synonym? An account and a wallet, is that the same thing?

B

- A. My Lord, I would say to summarise that, a wallet would be almost like a digital wallet. So, if you were to bring that into a real world, it would be almost like a little wallet that you own possession of and that you control. An account, I would say, I would almost tie that in and attribute that to what would be like a crypto exchange. So, it's similar as in a bank account. It's kind of similar, I would say, if you put those into two perspectives, a wallet, a little wallet that you have would be a custodial wallet with crypto, and a bank account would be an account as an exchange.

C

MR JUSTICE MacDONALD: Yes.

D

MR MOLYNEUX: And when we talk about addresses and wallets, are they the same thing or are they different things?

E

- A. I would suggest that they are different. You have a wallet address that is attributed to a wallet and similarly where you deposit, I would say, crypto digital assets to a wallet, you would have an address that that is associated to. So a wallet could have hundreds of addresses associated to it.

F

- Q. So, again, a beginner's course in crypto: just explain to his Lordship -- he may not need this, but I am going to ask the question anyway. If his Lordship were opening an account, if he wanted to trade in crypto, wanted to buy a Bitcoin, and then wanted to transfer that Bitcoin to somebody else, what would the procedures be? How could he do that?

G

- A. I think the most simplest way would be using a service provider, so for the likes of -- like say Coinbase as an example. Coinbase in a real world would be similar to like a bank account, like NatWest. You'd open an account with them. You would set up an account and they would create a digital wallet or you would use one of their, let us say, wallets that they own custody of. And if you wanted to send funds or digital assets to another person, you simply put in the address and execute that.

H

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Opening an account with Coinbase is straightforward because they set up the account for you and ----

- A. That is probably the most easiest way, yes.

A

Q. They create the wallet for you?

A. They would create -- they'd say they would create an account.

Q. They create an account, okay. And then you purchase your Bitcoin and you decide you want to transfer it out. And is that different from or the same as a self-storage wallet?

B

A. The self-storage wallet, you can generate a self-storage wallet if you wanted, so where you have custodial wallets whereby I would say you know Coinbase and exchanges have control of the wallets, self-custodial wallets would be, for example, you could have a USB stick to put it in the most simplest terms.

C

MR JUSTICE MacDONALD: Yes.

A. You would create and generate the seeds which are the seed phrases to generate a wallet. So those are, I would say -- I don't know the actual statistics but you know it's like one in something like... No, sorry, to put it in perspective, it would probably take about 1,000 - - sorry, 1,900 years or something to come up with the actual seed phrase to try and break it.

D

MR MOLYNEUX: So the seed phrase being the phrase that will ultimately lead to the creation ----

E

A. The creation of a wallet, that's correct. And you would create a wallet in that sense by generating the seed phrases. You can use -- there are certain platforms, websites, etcetera that allows you to do that. And once you create that wallet and you have access to those seed phrases, you can keep regenerating that wallet using a seed phrase and so on and so forth.

F

Q. So just help me with that, You talk about keeping on regenerating that wallet. What does that mean?

A. So in hindsight if, for example, if you had the seed phrase for a wallet ----

G

MR JUSTICE MacDONALD: Yes.

A. -- and you then say you lost access, you could not get access to that wallet, you could use that seed phrase to regenerate that wallet.

Q. Yes. And just for my own curiosity, you then have two wallets that have been generated by the same seed phrase in your example?

H

A. Yes.

Q. Both wallets then proceed forward towards the ultimate creation of a Bitcoin?

A. Yes.

Q. I see.

A

A. So to kind of bring it even further, just to kind of go on that point, for example, we've dealt -- or I've dealt with certain incentive frauds whereby you have a wallet and a fraudster would use the seed phrase to regenerate that wallet ----

Q. Yes.

B

A. And then execute the transactions to send them onwards.

MR JUSTICE MacDONALD: I see, yes. Yes, Mr Molyneux.

MR MOLYNEUX: So Coinbase and self-storage, they are entirely different things?

A. Yes.

C

Q. Coinbase is somebody else doing all of that for you and having your own self-storage wallet is you taking more of the risk?

A. Correct.

Q. Because what are the risks of each of those methods of owning crypto?

D

A. Ultimately, if you use a custodial wallet, say for the likes of Coinbase, you don't ultimately control the seed phrases to generate the wallets. They are liable to be hacked, for example. Ultimately, you just don't have ultimate control of it. Whereby if you had your own self-custodial wallets, you can regenerate those; you can secure those in any way that you want, and ultimately you can also take those offline. So, where you have what we refer to as hot and cold storage wallets, you can take them offline, which would then be cold wallets.

E

Q. And if you forget how to get into your cold storage wallet, you are in difficulty?

F

A. You can use your seed phrases to regenerate them. If you forget your seed phrases, then ultimately you're pretty -- in a bad way.

Q. And that is why you have these orphan assets of cryptocurrencies that no one can access?

G

A. Yes, exactly.

Q. And what's a multi-bit wallet?

A. A multi-bit wallet is a wallet that allows you -- it's essentially a self-custodial wallet.

H

Q. Okay. Now, if we were dealing with bank accounts, you would have a sort code and an account number and you would be able to tell from the sort code which banks you are with -- whether it is a NatWest sort code or HSBC, whatever it might be. Is there any way when you look at a wallet address that you can tell either the contents of the wallet or whether it is a cold storage or whether it is with Coinbase -- or does it not work like that?

A

A. Through some analytics you can do. There are certain platforms that allow you to do that. You can look at, for every transaction, you can look at perhaps the change address, so where that change address has gone to, and whether or not that change address is attributed to a known exchange.

B

Q. Yes.

A. But ultimately, you won't always be able to tell whether or not it's attributed to a hot or cold storage wallet.

C

Q. And one of the reasons, as I understand it, that people like cryptocurrency is it is totally separate from fiat currency. It is totally separate from the government. And it offers almost complete secrecy if you wanted to. Is that right?

A. If you wanted to, yes.

Q. So if you saw a wallet address in isolation, would there be any way of you being able to tell who that wallet belonged to?

D

A. The ultimate answer to that is "no", unless there is, I would say, open source information out there that attributes a wallet to an individual. What I mean by that, your Lordship, is for example, a fraudster uses wallet address ABC123. That on its own, you would not be able to tell who that's attributed to. And that's why lots of people like trading in crypto. It is the anonymity that sits behind it. But as a fraudster, that someone may have been a victim of fraud using that wallet address, and they may post it online. And so we would do the research behind it, and then perhaps you could draw the conclusion that that wallet is attributed to Mr X, the fraudster, as an example.

E

F

Q. So it really is old-fashioned detective work?

A. Unfortunately so, yes.

Q. So if, for example, I take his Lordship again as an example, he has got his Bitcoin and he wants to purchase something using that Bitcoin, so he transfers a fraction of that Bitcoin to his service provider. You would not know that it was his Lordship who was making the transaction just by looking at the wallet, but you might be able to work it out if you went to the service provider and they said: "Yes, I was transferred it by X in satisfaction of money that he owed me."

G

H

A. Correct.

Q. So you would work back from that.

A. Yes.

A

Q. So you need to have all of this other material in order to understand who is the owner of the account?

A. Exactly.

Q. And the other way is, I guess, KYC -- Know Your Client?

A. Exactly.

B

Q. But that only works if it is held by someone like Coinbase. Tell me whether I am getting this wrong or getting it right?

A. Yes, it depends really on each exchange service provider. Some of them would take KYC information; some might not, but Coinbase would, from my experience.

C

MR JUSTICE MacDONALD: Yes.

A. But then you do have offshore type exchanges whereby the KYC processes and onboarding processes aren't as stringent as they would be with the likes of Coinbase.

MR JUSTICE MacDONALD: Yes.

D

MR MOLYNEUX: So just looking at -- we will do some worked examples now. Look at page 9 of your most recent report, please. I do not know what page that is in the bundle because it was not in the bundle until very recently.

E

MR JUSTICE MacDONALD: Well, can we first check whether it is in fact in the witness bundle that is in the box? If it is not, then I think a paper copy will be needed.

MR MOLYNEUX: That is probably better.

A. Thank you so much.

MR JUSTICE MacDONALD: Did you say page 9?

F

MR MOLYNEUX: Page 9 please. I will just make sure I am looking at the right page. (To the witness) And you said in relation to all of these transactions which come from Coinbase -- so this is, I think everybody accepts, Mr Zahmoul's Coinbase account?

A. Yes.

G

Q. And there are lots of smallish transactions. And you say:

H

“The below transactions are of Bitcoin sent to wallet addresses after the original analysis. They reveal that the same amount of assets sent to the wallets, apart from T6 at the time of writing in November 2022, remain unspent within the wallet. Mr Zahmoul, however, stated that most are small amounts that were given when trying to educate how cryptocurrency works to individuals.”

Then at page 10 you develop that by showing the original wallet and then the little transactions which are going out of them. You say on the right hand side:

A

“Our analysis at the time of November 2022 report show that there are no onward transactions beyond these wallet addresses. Additionally, the inbound transactions to these wallets are the only transactions stated within each wallet, meaning that there are no other wallet addresses linked to the address that have not been disclosed.”

B

So it is like, if I can use a very simplistic analogy, it would be like paying £50 into another bank account, £50 pounds into another one, £50 pounds -- multiple £50, and then being able to evidence that there were no withdrawals or deposits into those bank accounts that the £50 pounds are being paid into?

A. Exactly.

C

Q. Okay. At page 11 you say:

“The below table shows these transactions and the current balances of each wallet at the time of writing the report in November 2022. It was evident that there was 1.137 Bitcoin currently associated with the wallet addresses that Mr Zahmoul had sent assets to.”

D

And I think that your explanation or the explanation that you were provided with was that this was Mr Zahmoul educating, as a crypto educator, transferring small amounts of crypto into the accounts of third parties. Am I right about that?

E

A. Yes.

Q. And indeed, you say at page 5, do you not, which is your executive summary, two thirds of the way down: “Mr Zahmoul has made...” -- It is the fifth bullet point up from the bottom:

F

“Mr Zahmoul has made various payments for educational services due to the value sent and Mr Zahmoul being ... crypto, there is no reason to contest these.”.

A. Yes.

G

Q. But that's your opinion. I might have a different opinion. His Lordship might have a different opinion. That is not your expert opinion, is it? That is just: well, it seems plausible to me. Is that fair?

A. That's fair to say.

H

Q. Because it is not evidence-based, is it, other than what Mr Zahmoul has told you about that?

A. No.

Q. I mean, it could be -- could be that these are all his own wallets that he has transferred these four bits of crypto in, and there would be no way of you gainsaying that. All you

A

know is that they were his. He has transferred what in today's money is, what, \$16,000 worth of crypto into various other wallets, and they remain there.

A. Yes, that's my opinion.

B

Q. Yes. Well, that is your expert opinion in that you can tell his Lordship that that is what has happened. What you cannot do, because you do not know (no criticism) what you cannot do is tell his Lordship that those belong to other people because you just do not know. You know what Mr Zahmoul has told you?

A. Correct.

C

Q. And there would be no way, would there, there would be no expert way of identifying who the owners of those other wallets were, the recipients of these bits of Bitcoin that are being transferred to them, would there?

D

A. I would say the only other way of actually trying to identify that is if every single one of those recipients at those addresses were to be spoken to and they could then evidence them actually accessing the wallets to show that they are in control of those wallets.

MR JUSTICE MacDONALD: Yes.

E

MR MOLYNEUX: So, if we look at page 12, there was one transaction which was queried and that was transaction 6. Additional checks -- this is page 12 of your report:

F

"Additional checks made on 24th January 2024 reveal that all balances bar transaction 6 remain the same. Transaction 6 suggested that 0.99 of Bitcoin was sent to wallet address BC1QG. Mr Zahmoul provided information to suggest the initial payment was made to Lila. Despite the payment being made to Lila, it is my opinion there is no rational reason for this to be sent to a further wallet over the two years after transaction 6 took place unless it was to amalgamate all assets."

Just explain to his Lordship what that means.

G

A. So essentially all of the assets... So if we look at all the addresses that go along the other side ----

MR JUSTICE MacDONALD: Yes.

H

A. -- we know the explanation given by Mr Zahmoul that it was for educational purposes. Now, the wallet transaction 6, which I think, if I am not mistaken, all those transactions were received -- I think it was the largest sum of that, yes. Now, if that was for, say, educational purposes, the person who was in control of that wallet would ultimately either leave it there, or they would, if they wanted to cash it out, send it to the likes of

A

Coinbase or use a platform to extract those. To leave it in there, in my opinion, for over two years, and then move it onwards to another wallet would not, in my opinion, make any sense.

B

MR JUSTICE MacDONALD: I mean we come, Mr Molyneux, to the point you made earlier on. What is the forensic basis of that opinion, because it looks like you are talking about someone's motivation for doing something and not doing something. So what is the forensic underpinning of that conclusion?

C

A. That is a very good question, your Lordship. I don't think there is a forensic opinion that sits behind that. It would just ultimately... From my experience dealing with crypto and transactions, ultimately someone would not want to move them on unless it was either one, to cash out, or to amalgamate those with another. But when I say "amalgamate", it's just so they can control all assets in one wallet as opposed to having loads of sporadic wallets.

D

MR JUSTICE MacDONALD: I see, thank you. Yes. Sorry, Mr Molyneux. I interrupted it.

E

MR MOLYNEUX: It is lay opinion rather than expert opinion, that bit, is it not? It is what do you think someone would do, and we all might have different opinions as to what motivation would be. But let us just look in relation to this transaction, because initially, Mr Zahmoul's explanation was that it went to his daughter. And you would have had no reason to doubt that, because if he tells you that, there is no forensic reason to believe that that is not true. Correct?

F

A. Correct.

G

Q. But it was not true because he told you. And if we look at 14, we will see how his explanation in relation to this has changed. It is not the only time we will look at this, but we will look at this one first. So, a request from Mr Zahmoul to explain whether BC1QG was his because you, through instinct rather than forensics, wanted to press him on this transaction, resulted in his response on 8 February. So two weeks ago. He says this:"

H

"Upon a more detailed review, I acknowledge an error in my initial identification of transaction 6 relating to [daughter]. The one Bitcoin I gifted to her occurred on December 17, 2017 which is distinct from the one Bitcoin that I transferred on the 1 June, 2019. That's currently under scrutiny. I initially mistook this transaction due to its proximity to her birthday. I currently read my records to confirm the recipient of the June 1 transaction, which I now believe may have been to Olivia. As per the attached, I have also reached out to Coinbase

A International Legal Team for assistance and I expect to receive an inventive response within 48 hours, which I will promptly forward to you.”

You say:

B “Based on the above, this is an error made by Mr Zahmoul. However, further enclosures supplied on 14 February 2024 from Mr Zahmoul, reveal a letter from Coinbase which details that he did not make a payment to his own Coinbase account, and that 18BK7, which is the wallet, are not associated with his personal Coinbase accounts.”

So we know that he has transferred that to somebody else is all we can say?

C A. Correct.

Q. And we got those two different explanations. The one I think that he is opting for now, the one that he says is true, is that it was to his ex-girlfriend rather than to his daughter. You do not know.

D A. Correct.

Q. And no one could know, I guess.

A. No.

E Q. I suppose the only way to know would be if the wallet that received it was with, say, Coinbase or with another provider by having a subpoena to do a “Know Your Client” check on that specific account.

A. Exactly.

F Q. And do we know whether that is a Coinbase account or could it be a self-storage, self-custodial wallet? Or is it just not possible to tell?

A. Well, it's not attributed to an exchange or a service provider that I can see.

Q. Out of interest -- indulge me -- how can you tell that?

A. I would use an open source platform, essentially.

G Q. And I think you say at the bottom of page 14, do you not,

H “Within the 14 February enclosures [from Mr Zahmoul] it also says for the decent transactions of Ms Molina, this can be seen in Appendix D. Of note, these transactions occurred before 1 January 2019 and therefore not within the scope to be analysed. That said, it would be beneficial to analyse dates of crypto assets and transactions pre-2019 as Mr Zahmoul could have sent assets to addresses not considered, which may identify addresses and accounts at exchanges.”

A

I want to understand the limits of what you have done. This is not a criticism of you because you have done what you were asked to do, which was focus on that date onwards. But nothing that you have seen could answer the question, because this is the nature of the crypto world: does Mr Zahmoul have assets pre-dating 2019, crypto assets pre-dating 2019, that he has either transferred to third parties or retained himself?

B

A. Sorry, was that the question?

Q. Yes?

A. Sorry, could you repeat?

C

Q. So, you have done what you were asked to do, to focus on 2019 onwards. But the secretive nature of cryptocurrency means that if he had, in a self-custodial wallet, bitcoins or had transferred bitcoins to somebody else pre-2019, unless somehow there has been a transaction post-2019 which touches upon that wallet, which leads you to examine it and try and trace it back and try and do some detective work, it could just still be there, could it not?

D

A. That is correct.

Q. Obviously you are not going to say that this is what has happened because you do not know, but if he had crypto in 2016 or 2015 or 2017 and he had not transacted with it, then it could still be there?

E

A. Possibly, yes.

Q. I mean, certainly on that scenario?

A. On the scenario, yes.

F

MR JUSTICE MacDONALD: The impression I get from your evidence thus far is that the surrounding information is really very important ----

A. Yes, my Lord.

G

Q. -- because there is so little that you can tell in many situations from the actual -- the blockchain information that is in front of you?

A. Yes. I would say, going back to what you just said there, your Lordship, when we talk about, you know, the limitations of what can we see in the blockchain, there are limitations. And with the anonymity that sits behind it, it again provides its limitations. I think with, you know, this scenario that I am dealing with here, essentially a lot of it is geared against or geared up with what the self-disclosure would be. So, based on that, that's how I can then expand my inquiries.

H

A MR MOLYNEUX: Yes. So if we had gone back to 2015, you might have a clearer idea about whether there is any other crypto that is not captured by this report, I suppose?

A. Yes.

B Q. At 15, you look at certain transactions, do you not, with Coinbase -- transaction two and transaction three, which was €4,619 and then €32,167, and these are receipts into Coinbase; so receipts into Mr Zahmoul's Coinbase wallet. You say:

C "It cannot be assessed based on the information provided. As such, a justification on the inbound transactions that have been provided by Mr Zahmoul as 'Olivia rent'. Whilst this is Mr Zahmoul's justification without the transaction hashes from Coinbase to identify the originating wallet associated with Olivia, it is still possible that the sending wallet address could be controlled by another party besides Olivia. Additional information arrived on 8 February, which does provide the transaction hashes for those two transactions."

D You say:

"This proves that the sending cluster is 1AWKG. This is a wallet address that Ms Molina has stated in Appendix A belonged to her."

E But the conclusion, is that her wallet, hinges entirely on her saying: it is my wallet. If she was not telling the truth, then you would be none the wiser. Is that fair?

A. That is fair, yes.

F Q. Then you look more closely at that wallet. I want to make sure that this has not been cut and pasted in the wrong place because I could not make sense of 16. 16, looking at further transactions linked to, I think, Olivia, and you say:

G "The above transaction shows that wallet address 1GQYJXH was sent 0.08 Bitcoin on 21 July 2019, which can be seen on the blockchain in the image below. In Mr Zahmoul's disclosure he says that this is a reimbursement to Olivia. A letter from Ms Olivia Molina dated 25 October has now been provided to another Another Day by Mrs Zahmoul and she confirmed that this is her address."

And then you go on to say:

H "Upon additional analysis, it appears that 1GQYJ is an address that has been generated as part of the cluster root addresses. This route address appears to make 57 transfers, 31 withdrawals, and 26 deposits. Additionally, 39.73 Bitcoins have been traced through this wallet, which is equivalent to \$768,000."

A

What I could not do is reconcile your continuing analysis of 1GQYJ, which has been generated as part of the clustered route addresses 1AWKG. What is the link between those two addresses?

A. So from what I've written in the report, from my understanding, is 1AWKG ----

B

Q. Yes.

A. -- is -- sorry, so, okay, so the address 1GQY, which is the recipient address -- sorry, the sending address in transaction 8, that address forms part of the same cluster as 1AWKG.

Q. And 1AWKG is one we looked at on the previous page?

C

A. Yes.

Q. And that is the one that Olivia Molina says is "mine".

A. Yes.

D

Q. Okay. So, can we deduce, because that is partly -- because 1GQYJ is part of the cluster of root addresses, that whoever controls 1GQYJ also controls 1AWK, because it is part of the same cluster of root addresses?

A. Yes.

E

Q. And whoever controls 1AWKG, said to be Olivia Molina, has made 57 transfers, 31 withdrawals, and 26 deposits, 39.73 Bitcoin traced through this wallet, which is equivalent to \$768,419. Correct?

A. Correct.

Q. So Ms Molina, if it is indeed her wallet, was transacting \$768,000 worth of Bitcoin transactions during the period that you have analysed. Correct?

F

A. (No audible response)

G

MR JUSTICE MacDONALD: Just while I think about it, as a judge who ultimately writes a judgment and sometimes publishes an anonymised form of the judgment, would the use of the short form of the addresses, so 1AWAG, for example in a judgment, reveal to the reader information that could be utilised nefariously, or is it standard practice just to refer to that first set of numbers and letters as an anonymous way of referring to the whole?

H

A. Yes. I generally use the first five letters, because obviously all the alphanumerics that come after it could be (inaudible)

MR JUSTICE MacDONALD: I see. Thank you.

MR MOLYNEUX: So if we focus on those first six letters and numbers, that is ----

A. Yes.

A Q. -- the best approach. Okay. So, over the next pages you look more closely at what I am going to call "Olivia's account" -- Olivia's wallet. This is 1AWKGD. At page 21 you conduct some further analysis. You say:

B "Similarly the two circled clusters are clusters that have sent funds directly and indirectly to addresses within cluster 1AWKGD. The address circled in red has been identified as having a root address 1NPXS9. This cluster has 250 addresses and is likely to be in this wallet address with a total of only 311 addresses and a balance of zero Bitcoin. However, a total of 1,452 Bitcoin has been traced through this cluster. It also sent 26.23 Bitcoin to wallet addresses within the 1AWKG..."

C What I want to understand, and his Lordship may wish to understand, is the nexus, the connection, between these clusters and Olivia's wallet because as I read this there is one point - or 1.452 Bitcoin which in today's money would be, what, getting on for \$70 million worth of Bitcoin transactions going through that cluster of addresses which is linked to -- but how closely is it linked to?

D A. So, the cluster where we look at the green circles cluster, which is -- so that is the one... So, when we look at the green circle address, essentially that has --when we talk about how close is the link, because we can see that essentially that dot, which is an address, is only one step away from the cluster that we believe is controlled by Olivia. So, when we talk about the link, it's essentially one step removed. What we can see from that diagram is that there are transactions between the green address to the address that is controlled by Olivia. That said, when we look also at ----

F MR JUSTICE MacDONALD: Just say that again. There are transactions from the green address ----

A. To Olivia's address.

G Q. I see.

A. But that said, when we look at the address on the furthest left of that diagram which appears as the white dot ----

Q. Yes.

H A. -- which is an exchange that also has a direct link into that address and also Olivia's address. So ultimately, that could give the reason as to why there are a large sum of Bitcoins being traced through and clustered.

MR JUSTICE MacDONALD: Yes.

A MR MOLYNEUX: You will understand through your involvement in this that Mrs Zahmoul is, of course, very sceptical as to whether or not Mr Zahmoul is telling the truth about the true owner of these wallets, whether it is Olivia or not. I do not want to make a bad point to the judge. I am going to make submissions, so I want to be clear about what we can fairly deduce from this, because these are big numbers, are they not, in today's money. I understand at the time these transactions took place, it was much smaller amounts of money, but in today's money, 1400 Bitcoin is \$70 plus million. So, what evidential value would you say this has in linking Olivia to this volume of Bitcoin transactions linking Olivia's wallet?

C A. I would say in my opinion, your Lordship, I'd say there is a direct link as we can see from the green circle address to Olivia's. However, I can't give an opinion as to how closely -- what the reasons are for those transactions. So, ultimately, whilst there is a -- they are a large sum; I agree, it's a large sum of Bitcoins linked to Olivia's address and that cluster, I can't give the reason as to why those -- that large sum of money has through the cluster. As you pointed out, I can't tell who controls that cluster, but ultimately there is a link somewhat between the two.

E Q. So, is it possible to convert it into a fiat currency, into a banking analogy. I do not know whether that works?

F A. Yeah, I mean, I think kind of the simplest way to think of it, your Lordship, would be if your Lordship has -- you know, if you had 2 million Great British pounds going through your bank account ----

F MR JUSTICE MacDONALD: Yes.

A. -- and then you have a direct link to myself and you send me, I don't know, £2,000 as an example, it shows that there is a link between your wallet address and -- sorry, your bank account and my bank account. That's as far as I can say.

G MR MOLYNEUX: Okay. Then we analyse transactions -- continue analysing transaction 8 on page 22. And you say -- this is in relation, I think, to another cluster of addresses within the 1AWKG cluster. You say this wallet, that is 15HYK --

H “However, 204 addresses, likely to be a private wallet address with a total of only 279 transactions. This wallet address also has a balance of zero Bitcoins. Over a total of 1,048 Bitcoins have been traced through this wallet. To summarise, the two addresses have sent funds to wallet addresses within the 1AWKG cluster, which is also a cluster that Mr Zahmoul has sent Bitcoin to.”

We know that Mr Zahmoul's case is that that is Olivia's cluster.

A

“Although he has informed us that this transaction was reimbursement to Olivia, we are unable to confirm but it is possible that the two addresses are also controlled by him or another entity. As there are returned transactions to Coinbase from 15HYK, it may be possible that KYC information from Coinbase may reveal information as to who is likely to have control of this receiving wallet address. Specific transaction information will be provided to assist with this process should it be required.”

B

And that is the only way, is it not, really, to be sure, would be to go back to Coinbase as Mr Zahmoul did with Gemini, to go back to Coinbase to do your KYC, get disclosure from them, and then they will tell you who is the account holder -- who is the apparently true owner of the wallet?

C

A. Yeah, essentially.

D

MR JUSTICE MacDONALD: Just give me a moment, Mr Molyneux.

MR MOLYNEUX: Oh sorry.

MR JUSTICE MacDONALD: Just on the question of the exchange, the presence of the exchange of the white dot?

E

A. Yes.

Q. Assuming for a moment that the exchange's (inaudible) may have a long volume of movements, can those movements go -- follow any route on the spider web, or do they have to -- does there have to be intention, if funds are moving from the exchange to a particular wallet?

F

A. Exactly.

Q. There has to be intention?

A. Exactly that. So, what we can't see as an example -- let us just kind of bring it almost a step further. With an exchange, we can't see internal ledgers, so we can't see transactions that happen internally.

G

Q. Yes?

A. Anything coming away from an exchange, so the white dot onwards, would have been executed or requested by someone who has an account at Coinbase and says, “I want to send X Bitcoin to this address via Black (inaudible).”

H

MR JUSTICE MacDONALD: Yes.

A

MR MOLYNEUX: I think that Mr Zahmoul came up with an explanation, which we see on page 23, about one of these clusters -- this 15HYK cluster, with 1,048 Bitcoins having been traced through it. And he says there:

B

“Your record that in response to the recommendation, the conclusion shown on the previous page in green, Stowe family provided a further letter on 14 February.

“The letter position enclosure states and proves that Mr Zahmoul has received confirmation from Coinbase that the wallet address 15HYK is not associated to Mr Zahmoul.”

C

You say at the bottom in red,

“Despite this information, it is not suggested this address is an address at Coinbase or linked to Mr Zahmoul Coinbase account. It suggests that the transactions in this wallet to Coinbase may assist in identifying who is in control of 15HYK.”

D

So as I understand that, you know that it is not a Coinbase wallet; you can tell?

A. That's right.

Q. And you were not suggesting that it was a Coinbase wallet; you were suggesting that it might be that Coinbase would be able to confirm who it did belong to?

E

A. Exactly. Just going back to your point you made earlier ----

Q. Yes?

A. -- it's almost the reverse of going to Coinbase, asking who made that deposit and then receiving the KYC information that way.

F

Q. Fine. So, then it is possible that that is Mr Zahmoul self-custody wallet. You do not know one way or the other?

A. I don't know.

Q. Then if we look at page 24, transaction 8 continued, “inbound wallets of interest”.

G

“The below graph focuses on solely direct transfers to exchange services detailed below. These are all coming from 1AWKG...”

-- which is that cluster of wallets which are said to be controlled by Olivia. It says:

H

“Although Olivia has said that she is the controller of 1AWKG, she sent Bitcoin to these exchanges above showing additional accounts out of the exchanges, if that is in fact a wallet, in addition to the transactions to be provided separately to assist. An application should be made should this be required.”

Just explain what it is that we can deduce -- we can safely deduce from that?

A. So from this, essentially with those transactions going directly to those yellow dots which are exchanges, if Olivia is the controller of 1AWK, then each of those exchanges, should they have KYC information, or any other additional information as to where those deposits have been made, will reveal who the recipients were at each of those exchanges.

Q. I understand. Now, 25: indulge me because you are going to have to help me understand what page 25 is saying. This is a transaction of €90, and you say: "Sending 0.013 of a Bitcoin to wallet 3DAT -- 3DAJT." You say:

"The above transaction shows that the wallet address, 3DAJT was sent 0.013 Bitcoins on 25 October 2019."

The starting point is that this is a transaction out of Mr Zahmoul's Coinbase wallet, going to wallet 3DAJT. Correct?

A. Correct.

Q. Okay.

"That can be seen on the blockchain and in the image below. Letter from Ms Olivia Molina date 24 October 2022, shown in Appendix A, have now been provided to Another Day via Mr Zahmoul, in which she confirms that this is her address."

So Olivia again is saying, "This different wallet that received Bitcoins from Coinbase was my wallet." So she seems to have, on the basis of what she is saying, she seems to have a whole number of different wallets.

A. Yes.

Q. And you then go on to say, "Upon additional analysis, it appears that..." -- and then this is the bit I do not understand; "... it appears that 1GQYJ is an address that has been generated as part of the cluster of root addresses 3N69P." I did not understand how that tallies with the previous paragraph. It is not trying to trick you. It is a genuine attempt to understand whether I have misunderstood. I just wondered whether it was a typo, whether it was a miscut and pasting?

A. I believe that is a typography error.

Q. So, what we are really looking for is further reference in the -- further reference somewhere in here to 3DAJT because I cannot find that. Maybe there is something which you could assist us by looking at because the figures at the bottom, the 80 Bitcoin

A traced through this wallet which is equivalent to \$786,000, it will be helpful I think, respectfully, for his Lordship to understand whether this other account said at the moment to be owned by this wallet, said to be owned by Ms Molina, has been the recipient of \$786,000. To recap, we see in the first paragraph that wallet address is said to be her wallet address because she provides an email saying so. And then in the second paragraph, which I think has got the wrong wallet address, you say that \$786,000 has gone through a wallet. I just want to understand whether you meant to say 786,000 went through 3DAJT, or whether you did not mean that?

A. That might be a typo. That is something, your Lordship, I will have to check.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: I understand.

MR JUSTICE MacDONALD: I think given the time, it may well be that once I rise at 1 o'clock, it can be done over the lunch adjournment.

MR MOLYNEUX: My Lord, because this leads on to another question which I want to put to Mr Pinto, I wonder if we could adjourn now so that he can do that and we could start obviously whenever is convenient for you.

MR JUSTICE MacDONALD: Yes. How much longer do you think you have, Mr Molyneux?

MR MOLYNEUX: I would imagine I have got another 30 minutes.

MR JUSTICE MacDONALD: Ms Campbell, how much do you think you have of questioning?

MS CAMPBELL: Probably at least an hour, but maybe an hour and a half. It depends what comes next.

MR JUSTICE MacDONALD: I think then I will rise now. Mr Pinto, if you can check that over the course of the lunchtime adjournment I would be grateful. We will sit again at 2 o'clock. Obviously, I know you are aware that during the course of the lunchtime adjournment, you should not discuss your evidence?

A. Yes.

MR JUSTICE MacDONALD: Yes, thank you. 2 o'clock.

(Adjourned for a short time)

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: Mr Pinto, you were very kindly going to have another look at page 25 in order to tell us what that page should have said. Can you help?

A

A. Yes. So, the only typography is in the second paragraph where it says “1GQYJ”.

Q. Yes?

A. That should be 3DAJT.

Q. As we thought. 3DAJT.

B

“The above transaction showed that the wallet address 3DAJT was sent 0.013 Bitcoins on 20 October, which can be seen on the blockchain and in the image below. A letter from Ms Molina, dated 20 October has now been provided to Another Day by Mr Zahmoul in which she confirms this is her address.”

C

I think this is one of your original queries in your November 2022 report?

A. Correct.

Q. So, this was telling you the answer to one of the queries you had in relation to this wallet previously.

D

“Upon additional analysis, it seems that 3DAJT is an address that has been generated as part of the cluster of root addresses 3N69P. This address seems to have made 20 transfers, 8 withdrawals and 12 deposits. Additionally, 80 Bitcoin have been traced through this wallet, which is equivalent to 786,901.”

E

So we saw the previous account, which was apparently Ms Molina's account, which had \$780,000 passing through it. We now see this wallet, again said to be Ms Molina's, with a further 786,901 passing through it. Am I right so far?

A. Yes, that's correct.

F

MS CAMPBELL: I am sorry, I am not sure that is right. Did you say “passing through” or “associated with”?

MR MOLYNEUX:

G

“The address appears to have made 20 transfers, 8 withdrawals and 12 deposits. Additionally, 80 Bitcoin have been traced through this wallet, which is a limit of 786,901.”

And then we see below in the illustration, “transfers received to trace” -- transfer received 83,000. “Traced transfers sent 786,901.” So, I am going to stick with my formulation. (To the witness) And I think you are agreeing with me?

H

A. Yes.

Q. Now, that is the story so far. This is Ms Molina’s wallet. This little fractional Bitcoin transferred to her illustrates that it is hers, not because you can tell but because she

A

confirmed it and we see the very helpful email from her at page 28 of your report. At the bottom of that page we see the email from Ms Molina. It says, “ I also want to confirm the following wallets” because she has got a number of them: 1GQYJX 3DAJTD and then 189QKP -- all hers.

B

“They are my wallets and mine alone. Best regards, Olivia Molina, dated October 20, 2022.”

And this is where it gets confusing. Look at page 28.

C

“ In the letter from Stowe Family dated the 13 February 2024, Mr Zahmoul appears to have gained new insights into this transaction...”

-- the one we were looking at, the little fractional one.

D

“The letter states that he initially attributed the \$100 transaction as a payment made to Ms Molina. This is also described in the previous pages...”

-- the one we were looking at.

E

“However, the 13 February letter states that this was largely due to the absence of any formal record, its minimal value, and its occurrence during the time that they [he and Molina] spent together in New York, specifically just a day prior to her transferring 10 bitcoins to him in two separate transactions of five bitcoins each.”

The same letter states:

F

“Mr Zahmoul has since discovered an email correspondence from Mr. Fadi Kassis of Forte Securities, which clarifies the \$100 transaction in question was actually directed to Forte Securities. This transaction was a preliminary test to verify the functionality of their wallet system conducted in anticipation of potentially more favourable Bitcoin sale execution rates. On the 20 October 2019, Mr Zahmoul transferred a nominal amount to confirm the reliability of the address provided. For your reference...”

G

-- continues Stowe Family Law --

H

“We have enclosed the said email exchange to Mr Zahmoul and Mr Kassis of Forte Securities. Additionally, we have included the letter from Forte Securities dated 11 February 2024, which verifies the ownership of the wallet in question. The letter in question is shown overleaf which states that Forte Securities..”

-- presumably the entity, the business --

“... claim the wallet 3DAJT is theirs.”

A

And if we look overleaf at page 29, we will see the letter from Forte Securities from this gentleman, Fadi Kassis.

“This is to confirm the following wallet belongs to us, Forte Securities, 3DAJT.”

B

And then we see some emails, I think, starting at the bottom: 11 October 2019.

“Hi, Fadi, can we start with one Bitcoin? Let me know where to send it. I'm not sure I'm ready to sell yet.”

C

We do not know what that means. “That's why I've not been responding. Karim.” Mr Zahmoul will give evidence about this, I am sure, in a couple of days' time. The response:

“That's cool, man. No worries. I figured as much. 3DAJ2 once in hand here, and you want to sell, let me know.”

D

He replies:

“Fadi, I've sent you \$100 to that address to make sure it works. Let me know when you receive.”

E

And then “0.1307641 received, nice one.” So we have got two people claiming that that is their wallet. We have got an email in the clearest terms from Mr Kassis saying, “the wallet belongs to us”. That is at 29; and at 28 we have got an email, in just as clear terms, from Olivia Molina saying the wallets, including one we just looked at, “are mine and mine alone”. Now, are you able, as a matter of expertise, as opposed to probability or guesswork, tell the judge whose wallet it is?

F

A. No.

MR JUSTICE MacDONALD: Sorry, Mr Molyneux. The two communications that you have been referred to are three years apart. Is there any way in that three years that the wallet can move from being one person's to being another person's within the context of cryptocurrency?

G

A. I guess the question would be whose ownership it is.

H

Q. Originally?

A. Originally, and whether or not they've passed that ownership over by way of transferring the seeds, for example, and giving them access.

MR JUSTICE MacDONALD: I see. Yes, thank you.

A MR MOLYNEUX: Are there any pointers that you can assist his Lordship with which tell us, as a matter of expertise, whose wallet this is likely to be? I distinguish expertise from forensics, which his Lordship will be the master of, i.e. who does he believe and what document does he attach weight to in terms of the emails. I am thinking more of your expertise as a cryptocurrency expert?

B A. By way of just looking at the blockchain, there's no way of me differentiating who has the rightful ownership of it. The only way that I could see, actually identify who has ownership of it, is looking to see if there's any direct links either inbound or outbound from that wallet to an exchange, and then asking for that information from the exchange

C Q. Thank you. There is a lot of self-certification, is there not, in terms of ownership of these assets, by which I mean you only know if someone says, "It's mine."

A. From an investigative perspective, yes. It is only a single strand of evidence I have.

D Q. And is there any independent source information that could cast some light on who the owner of these is, in terms of your expertise?

A. The other way that you could do it is if you had Ms Molina in the courtroom or if you had Mr -- forgive me -- Kassis in the courtroom and asked them to access their wallets remotely, just to see who actually has ultimate access to them.

E Q. So only one of them has got the key?

A. Potentially, they could both have the keys. It is not impossible.

F Q. Oh, right. So, as a matter of theoretics, it might be possible for two people to have the key to the same wallet. But as a matter of reality, that would be unlikely because it would enable somebody else to access your asset?

A. Exactly.

G Q. Could you just look at page 30 for me, because I want to better understand why you say what you say. This is a Coinbase transaction. Am I right in thinking that the focus of this has been Mr Zahmoul's Coinbase transaction. So he has shown you a log of what he has been doing vis-a-vis Coinbase, and you have then been analysing each of the 30, 40 transactions which are evidenced therein to try and tell the court all you can tell about them and about ownership of wallets that are connected with them?

H A. Exactly.

Q. Yes, I understand. Did that include Coinbase Pro or was it just Coinbase itself?

A. Coinbase and Coinbase Pro.

A

Q. And just again, for the benefit of the Lordship, just remind everybody of the difference between those two accounts and what is one used for, and what is the other one used for?

A. Generally, Coinbase Pro is more of a trading platform. It's associated with the Coinbase account. So ultimately you should not be able to see transactions with Coinbase Pro without seeing it kind of clearing it in a Coinbase account.

B

Q. This may be something that you cannot answer, in which case you will tell his Lordship that you cannot, so I do not want you to speculate, but in your experience, do financial organisations, financial institutions, have these crypto wallets themselves or how would they hold their crypto assets? Because we were just looking at that email from Fadi Kassis in which someone is transferring some cryptocurrency into an account which apparently is now said to be owned by Forte, the financial organisation, the financial institution. I just want to try and understand whether that is a normal thing or an abnormal thing or something that you cannot comment on?

C

D

A. It's not something I can comment on.

Q. I understand. So, looking back at page 30, we have got two transactions receiving, each of them, five bitcoins from an external account. You say:

E

“They cannot be accessed based on the information provided. A justification of the inbound transactions has been requested by Mr Zahmoul as ‘Olivia BTC exchange’.”

Again, she is the source, we are told, of these inputs: €85,000 from UVS.

F

“A letter from Ms Molina dated 20 October 2022 has been provided to Another Day by Mr Zahmoul in which she confirms that this is her address.”

I think that is the one we were looking at -- one of the other addresses.

G

“[She] confirms that this is her address and it was used to reimburse Mr Zahmoul for the €85,000 that he had sent her. In my opinion this is likely to be correct.”

Additional data, as mentioned for transactions 2 and 3 shows that this sending cluster is 1AWK, which we have already connected to Mr Zahmoul earlier -- a wallet that she attributes to herself.

H

“Additionally, it would not seem reasonable that Mr Zahmoul would send himself Bitcoins from an external wallet.”

A

I just really want to understand what that last bit means as a matter of expertise as opposed to what you would say is human behaviour or what you would do. Why would it not seem reasonable as a matter of cryptocurrency expertise that Mr Zahmoul would send himself Bitcoins from an external wallet?

B

A. I mean, it's a very good question. From my personal perspective, I would not have sent it, but from a professional -- so that's my personal opinion. From a professional perspective, I can't see any reason why he would or would not.

Q. So it could have been him sending to himself, but it just happened that Ms Molina, says "Oh no, those were mine."

C

A. Exactly.

Q. And at the moment, you cannot do better than say that is the evidence.

A. Exactly.

D

Q. 32 please. More transactions said to involve Olivia, or said by Olivia Molina to all involved Olivia Molina. Just looking at transactions 11 and 12 a moment ago. Three lines down on page 32, a letter of Ms Olivia Molina dated 20 October, which again we are looking at, "... has been supplied to Another Day, in which she confirmed this is the address that was used to reimburse €85,000" -- I think the duplication of the previous page of page 30. I want to make sure that I have not missed anything. I think the first half of that is the same, but I think you have added something in relation to transactions 14 and 15, where you say:

F

"Like the above, transactions 14 and 15 cannot be assessed merely based on the information provided. Transaction 14 has been justified by Mr Zahmoul as 'from Olivia, test' and transaction 15 has been justified by Mr Zahmoul as 'from Olivia \$60,000 order'. Similarly, the letter from Ms Molina dated 20 October has now been provided to Another Day by Mr Zahmoul in which she confirms these are addresses and this was a wallet she used to pay the 0.1 and the 5 Bitcoins, to sell 5 Bitcoins at \$60,000 to Mr Zahmoul. Despite the letters provided by Olivia, it does not categorically prove that she has controlled the sending wallet. It is also likely the first transaction is a test transaction to assure that Bitcoin were being sent to the same wallet."

G

H

And it is the same point we were discussing before. It is all self-certification, is it not? There is no empirical expert-led way of establishing who has sent these?

A. I agree.

A

Q. Now could we look at page 71. My Lord, do you understand in the interest of time, I am not going to take every transaction because a number of these points apply. I do not want you to think by ignoring them, I am not attaching weight to them.

MR JUSTICE MacDONALD: I understand.

B

MR MOLYNEUX: (To the witness) Page 71. We have your observations in relation to the multi-bit address, 1LVSG. You say: "Analysis of this address in November 2022..." This is in your original report, yes?

A. Yes.

C

Q. "... Reveal that 24 Bitcoins have been sent to this address, all of which have also been sent out of the wallet. This was rechecked in November 2022..." I think you mean November 2024?

A. 2024, that's right, yes.

D

Q. "... was first active was 21 May 2015 until 8 November 2017..." Now, just before we move on, because I accept that was outside of the scope of the report, in your original, your November 2022 report, or your consideration of this in November 2022, you obviously identified these 24 Bitcoin as sent to that address. Was there an explanation provided to you as to whose Bitcoin they were or where they were going?

E

A. Not that I can recall, no.

Q. Well, it was first active 21 May 2015 until 8 November 2017 and has a balance of..." -- a tiny balance, 0.1005762, at the time of writing." We then see what the transactions were in relation to this multi-bit address, 1LVSGY.

F

"The above table shows the counterparties' addresses that 1LVSG(sic) has directly interacted with. 7.21 Bitcoin received from F2 Pool Mining Company. All funds sent from the same address at Xapo.com between the time periods seen in the above table. As such, it is possible Mr Zahmoul has an account at a mining company."

G

I think this is your original text which you then added to in red below.

H

"7.969 were sent to Xapo, a hosted wallet service, in fact similar to an exchange. So Mr Zahmoul controls 1LCSG. He may have an account at Xapo. However, we see that he has written to Xapo to confirm that he does not have an account. However a court order to Xapo may reveal the recipient of these assets."

Then it says:

A “4.5 Bitcoin was received and 5 Bitcoin sent to Gemini.com, five of which were sent to a Gemini exchange service. We know from the disclosure Mr Zahmoul has provided a wallet address at Gemini.”

B I just want to be clear about the numbers because I think you refer to 7.969 whereas actually it's 10.9694. If we look at page 71 you will see the sent figure of 3.9694 to Xapo, the first one, and then further down a further three right to the bottom which takes it to 10.9694. Am I right that it is not 7.9; it is 10.9 as the number which was sent to Xapo. Yes?

A. (No audible response)

C Q. And as far as you were concerned, in the November of 2022, these were transactions which saw Bitcoin leaving Mr Zahmoul's account but going somewhere that he was not able to identify, saying that it was a Xapo account. Is that correct?

A. From my recollection, that's correct.

D Q. And it now transpires, does it not, that that was his account that it was being sent to. That is correct as well, is it not?

A. His Xapo account?

Q. Yes.

E A. Without reviewing the enclosures again, I can't definitively say.

F Q. If I'm right about that, and I am, there is no way you could possibly have known that, is there, from just reviewing the material that you were provided with because so much of identifying the recipient of these things is down to the honesty of the recipient, or the recollection of the recipient?

A. Yeah, you are correct, yes.

G Q. And the same with the 5 Gemini. When you saw that 6 Bitcoin had gone to Gemini, you had no idea who was the recipient of the 5 Bitcoin at Gemini, because there is no material, is there, to enable you, even with your expertise, to tell his Lordship who would be the probable recipient of that?

A. That's correct.

H Q. And so if we now know that it went to an account in Mr Zahmoul's name, you could not possibly be to blame for not having understood or spotted that, because there would be no material to help you without the disclosure?

A. No.

A

Q. And, wrapping this up, subject to any instructions and having to ask anything else, the thing about the crypto world, I am going to put to you, you tell me whether this is a fair assertion -- the thing about the crypto world is that it is so opaque, it is so invisible in terms of who owns what, that you really are pretty dependent on the honesty and integrity of the person who owns it to tell you they own it because it's very, very hard to work out otherwise who the owner is?

B

A. I would say you're partially correct.

Q. Please tell his Lordship which bit, and which bit is wrong?

C

A. I think principally what you have said is actually correct. I think the other aspects about which we touched on right at the beginning is when we're looking for these off-ramp connections to exchanges, those are other avenues of investigation where we can try and identify who the ownership is -- who the owner is for each of these wallets.

D

Q. And off-ramp, the linked transactions within clusters, the linked transactions between wallets that give you a clue as to the scale of someone's usage of crypto and whether or not they might have a beneficial ownership of other wallets?

E

A. No, what I mean by "off-ramp" is whereby the fiat -- so the digital asset, so Bitcoin in this case, is then sent to an exchange, is what we refer to as the "off ramp" where they want to change the digital asset back into fiat currencies.

Q. Fine, so it is only that end game when they want to get their hands on the cash that gives you your best chance of working out who the ----

F

A. Essentially, it's the direct link between the wallet, or the unknown wallet, to an exchange or service.

Q. But if you are not in a hurry to convert it into dollars, into hard fiat currency, if you are prepared to sit tight, then it is hard to work out who the real -- what the scale of your resource is.

G

A. Yes, I agree. And the earlier you are an adopter, because we started in 2019 -- so the earlier you are as an adopter, presumably fair to say that it is even harder for those people to work out whether they make this full disclosure or not?

H

A. I can't answer that, to be honest. That's really down to the individual.

Q. I understand that. It may be that is all I have got to ask, Mr Pinto. I will just check.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: (After a pause) Mr Pinto, thank you so much. I do not have any other questions for you, but I am sure Ms Campbell will.

MR JUSTICE MacDONALD: Yes, Ms Campbell.

MS CAMPBELL: Thank you, my Lord.

Cross-examined by Ms CAMPBELL

Q. Mr Pinto, just a couple of preliminary things first, if I may. You met with Mr Zahmoul recently this year, but prior to this year, as I understand it, the last time you had a meeting with him was back in June 2022?

A. Yes.

Q. So there has been silence for 18 months?

A. That's correct.

Q. And during your interactions with Mr Zahmoul how have you found him in terms of trying to assist you or respond to your inquiries. Has he been helpful?

A. I would say he's been very helpful. He has been very timely with his responses.

Q. And have you been left with the impression at all that he has tried to hide things from you?

A. Personally, no.

Q. Is there anything you have asked Mr Zahmoulo provide that he has not?

A. No.

Q. In relation to Mrs Zahmoul, have you found her to have been helpful to you in the same way?

A. I haven't had any specific requests from her, but I would say yes.

Q. And has she maintained the distance that one would expect for individual parties not to contact experts? Has she respected that distance?

A. No.

Q. How often has she tried to contact you during your reporting directly since you were instructed?

A. Since I'm instructed, I would give a guesstimate of this between 10 to 15 times.

Q. This year, since you were brought back into the fray to help us with the updating, this year, how many times has she been in touch with you directly, not through solicitors?

A. When I say "directly", I'm not talking about... Sorry, I think there needs to be a differentiator of what it is. So it's not that she called me up every single day, for example, or sent me emails every single day, but there have been influxes of emails, on probably three occasions.

IN PRIVATE

A

Q. And have you had calls to contact her instructing solicitors and ask her to desist from that contact?

A. Yes.

Q. And has she respected that request?

A. No.

B

Q. When was the last time she contacted you?

A. I can't give a definitive date, but it would have been within the last two weeks.

Q. Now, you are here obviously as an expert, so you are giving an expert's opinion. I am right to say, am I not, that that is based on your experience?

C

A. Yes.

Q. And you have been looking at crypto accounts and examining cryptocurrency exchanges and transfers for how long?

A. So I've been doing crypto for about four years now, I'd say.

D

Q. And have you looked at personal, individual accounts or corporate accounts? Explain what your experience has been.

A. In terms of crypto?

Q. Yes.

E

A. So I've looked at corporate accounts in terms of system exchanges. I've looked at corporate accounts again, personal accounts, looking into frauds.

Q. So you have seen both sides, corporate and personal?

A. Corporate, personal, and yes both -- assisted in both the civil and the criminals frauds.

F

Q. And if I were to go back to what you were answering in questions that Mr Molyneux put to you, you were explaining that in a sense the exchange is a bit like a bank account and the wallet is a bit like a wallet or a purse you might physically hold about your person and that was the difference?

G

A. Yes.

Q. Is it fair to say that if we were looking at bank accounts and you said to a person, well, I have seen your NatWest account, but that does not prove to me you do not have an account anywhere else, that is obviously nothing to do with the crypto question, but just as we stand at common sense. It is difficult to prove a negative, is it not?

H

A. It is.

A

Q. And that applies equally with crypto as it does with physical bank accounts. It is hard to say to somebody: well, I will prove to you that I have not got any other accounts. That is quite difficult, is it not?

A. Exactly.

B

Q. And the only way you could give a definitive answer is to write to every single platform, every single exchange -- and even then, you would not have an answer because there still might be private wallets that were not open to contact. And you could never prove that negative?

C

A. It would take a lot of effort to do that, but (inaudible)

Q. And is it also fair to say that you have looked at everything on your instructions from 2019, so we have got five years' worth of data?

A. Yes.

D

Q. And this is a bit like looking at a bank account. If I was to look at five years of data on a bank account and I was looking for a hidden account, what I would be looking for is anywhere in these disclosed accounts for a link -- often an account that has not been disclosed or something coming in from an account that has not been disclosed. It is those links that would help me challenge whether or not there is an honest answer to proving that negative?

E

A. Exactly.

Q. And that is really what you have been doing?

A. Correct.

F

Q. And in the five years of accounts that you have looked at that belong to Mr Zahmoul, have you seen anything that indicates he has an account that he has hidden from you?

A. Initially when I looked at it, I would say that raised certain questions, but off the back of that, he has come back to justify what those transactions were and whether or not he had it accounted for.

G

Q. My instructions are, and you can tell me whether this is accurate or not, that Mr Zahmoul has been able to give you all of the data of all of his accounts, certainly the ones that he admits to, for all of 2019 to date, and there is not a single gap in the evidence he has given. You can follow every single transaction he has made from 2019 himself?

H

A. Yes.

Q. So he has given you a complete account of all the accounts he admits to?

- A. Yes.
- A Q. So if there were hidden accounts, those accounts have been kept completely separate from all the accounts that he has had from 2019?
- A. That would be the assumption, yes.
- B Q. And in fact, Mr Zahmoul tells me that because of the questions that have been raised time and time again, he has actually given you all of his data for the accounts that he admits to, to 2015. So you have actually got comprehensive accounts since he first started trading?
- A. Yes.
- C Q. So although that was not the ambit of your report, after your meeting last June he provided information to give you a comprehensive account of every single account he has operated from 2015 to date?
- D A. Yes. Just to elaborate on that slightly, I think everything I have asked for he has provided. Between last June to, I would say, June 2022, to the most recent enclosures which I received in January 2024 there are additional data within that bundle which shows that the additional accounts have been prepared.
- E Q. Yes, and the new disclosure that you had, for instance the Xapo account and the Gemini account, you have now had a complete and full comprehensive collection of data for those accounts?
- A. Correct.
- F Q. Okay. Mr Molyneux said to you effectively, crypto is a bit of a charter for somebody who wants to operate undercover because names are not clearly attached to accounts. But it is right, is it not, that the blockchain, which is publicly available to anybody, identifies every single transaction that is carried out in crypto?
- A. That's correct.
- G Q. So although you will not know who is carrying out the transactions, every single transaction ever carried out is publicly available?
- A. That's correct.
- H Q. And so although you cannot identify, for instance, certainly by looking at the blockchain, who the senders are and the recipients are, you can look at timing. So for instance, if Mr Zahmoul shows you his account and you can see money leaving, Bitcoins leaving, and you see another unknown account at the same time, with the same

A

transaction, you can be satisfied, even if you do not know who it is going to, that that is coming from Mr Zahmoul and going to a second person?

A. Correct.

Q. And the timing, even though you do not know who it is coming from, going back to Mr Zahmoul, again you can check incoming and outcoming by the blockchain?

B

A. Yes. There are times where there may be a very small discrepancy in timings whereby it needs to be -- the debt were authorised by the blockchain ----

Q. Of course.

C

A. -- so you are talking maybe minutes, but ultimately you would be able to see the Bitcoin for whatever amount it is clearly going across to minus the fees.

Q. That is right. There are two things that might make the exit and the entrance or the two payments in and out. The fees charged by the platform, so it will deduct a certain portion on the way in, and also the exchange and the value of bitcoins?

D

A. Yes, I mean you do have the fees; you have the funds going across, but you would also see a change address. So to elaborate on that, your Worship, I think that's also what's assisted me with part of the investigation. I think it's good to know that with Bitcoin, as an example, if I had a wallet that had 10 Bitcoin, and I wanted to send you 5 Bitcoin, I would automatically send you all 10, and then 5% comes back as change. And on that basis, when we looked at, for example, the Multibit wallet, analysing the changed addresses, which I want to refer to exchanges, allows you to come to the conclusion that that addresses is going to change.

E

F

Q. And that is the UTXO, the exchange rate for the Bitcoins. Is that right?

A. The UTXO is an unspent amount associated with (inaudible due to overspeaking)

Q. I see. Thank you. Now I just want to have a quick look at your report on page 20 please, if you would not mind?

G

A. Sure.

Q. This is just an example of wallet addresses, various wallet addresses receiving payments. We can see the address on the left and then the payments on the right. Is that what you are looking at?

H

A. Yes.

Q. Yes. One of the questions that was put to you earlier or has been raised is you do not know who the wallet address belongs to. One of the things you could do is write to everybody and find out?

- A. Correct.
- A Q. And you could also enter in the link and go on the public chain and find out the recipient's address and the sender's address. So you could go back to the blockchain to find the connections?
- A. Yes.
- B Q. And in fact, in relation to these examples, that is exactly what Mr Zahmoul did for you, did he not? He went and provided that information and gave you the direct links?
- A. Yes.
- MS CAMPBELL: Just for your Lordship I will find the reference to that.
- C MR JUSTICE MacDONALD: Yes.
- MS CAMPBELL: If we look at 3942 in our bundle -- and Mr Pinto, I do not know if you have a bundle available to you? Yes, thank you. Would you mind going to 3942?
- (After a pause)
- D MR MOLYNEUX: Sorry I think it is the wrong bundle. What bundle is it?
- MS CAMPBELL: It should be the last one and it's tab ----
- MR JUSTICE MacDONALD: Do they have volume numbers on them?
- MS CAMPBELL: I am afraid if you can see the ----
- E A. Yes, volume number.
- Q. It will be the last one.
- MR MOLYNEUX: Oh, the last one.
- MS CAMPBELL: I think you should ----
- F MR MOLYNEUX: It has got number 5 on it.
- MS CAMPBELL: Number 5. Thank you. And there should be a tab D, and then 3942. (To the witness) And so Mr Zahmoul was able to give you the direct links and we can see these. Of five of the transactions that are listed on page 20, so there are eight details on page 20, eight transactions, and Mr Zahmoul says through his solicitors, he cannot identify all of them, but he can identify five, and he has given the specific links. In fact, through the bundle, with the exception of item 1, you can click on that link and it takes you to the direct part of the blockchain and you can identify who the recipients were, or at least the addresses, and you were able to check those, I presume?
- H A. Yes. I would say some of the links didn't work. I don't know whether or not that was from my end, but I did use the transaction hash provided.
- THE RESPONDENT: That is my (inaudible) just in case it does not work.

A

MS CAMPBELL: Well, I have checked them. I know they are right, except for number one.

And the reason that does not work is there is an extra dot?

A. Yes.

B

Q. There's an extra dot I can see on that one. It is at end. Do you see at the 6F there is a dot there and that has corrupted the link, but anyway. So he was able to check and he could identify who he had -- who were the recipients of those wallets, he has given you the details there and you checked?

A. Yes.

C

Q. Great. I will come back to this later. Thank you. Is it also right to say that these days the crypto market is much more carefully regulated than it used to be?

A. I would say over the last two years.

D

Q. And would you agree with Mr Zahmoul that more likely the platforms, the professional platforms like Coinbase and so on are treated with a little bit more professional respect and they are considered more secure than the other less well-known and I think you mentioned before some of the offshore platforms and things like that?

A. Yes.

E

Q. Platforms like Coinbase and Binance, they have quite formal regulations, even standard things that you would expect from a bank such Know Your Client?

A. Yes.

F

Q. You are expected to give a physical photograph of yourself and some current evidence to show that that is you with the account. So they are quite careful to make sure that if you have an account with them it belongs to you.

A. Yes.

Q. And these days those platforms only allow one account per individual -- Coinbase.

G

A. Coinbase, yes.

Q. And Binance?

A. Yes.

H

Q. And that was not always the case. So for instance, as I understand it previously Coinbase would have -- you could have an account in America and then an account in England and operate those two. So the golden rule where only one individual had one account was broken because you had one in America and one in England?

A. That is correct.

Q. But that is not permitted anymore by Coinbase.

A

A. I can't definitively say, but I can take your word for it.

Q. All right. If we were going to look at some of the particular transactions, as I said, the best that perhaps Mr Zahmoul can do is show you a comprehensive picture of all his trades, all of his movements, so that you can identify if there is anything missing or anything peculiar in his movements. That is the best he can do in proving a negative?

B

A. Yes.

Q. You would agree?

A. Yes.

C

Q. If we look in the bundle at 3969 please, we can see here a chain of messages, emails. I am sorry but I have started you at the bottom because they are being recorded in reverse as emails are. And if you just move up, you can see the date of that: January 15th, 2024. This is him, Mr Zahmoul, writing to the Binance Data Protection Team, giving his details. And then further down on 3968, he says,

D

"I am in the midst of a divorce and there are claims made that I possess multiple accounts in Binance on the various jurisdictions. An official document clarifying the exact number of accounts registered to my name and emails would be instrumental in assessing these claims."

E

And he gives some details all of his email addresses he has used beneath, and he asks, as we read down, for details of the accounts, jurisdictions and whether any unverified accounts do not hold funds or are not in use. So that that is his request to Binance. If we scroll up we can see on 3967 -- and I am sorry for you that is going towards the front of the bundle January 17th, the protection officer is responding. Then above that, 17 January, Mr Zahmoul Karim again asking for details.

F

G

"I would appreciate if you could confirm all the accounts I hold globally with any potential email address."

He chases it. And then we have a bit more chasing. If you can just scroll through that, finally, on our page 3965:

H

"Dear client, thank you for your verification. Please find enclosed a copy of your personal data. The password to access it will be provided."

And so Binance have given a complete account of all of the transactions that Mr Zahmoul has ever had. And you were able to look at those?

A. Yes.

Q. Similarly, he did the same thing with Coinbase, and if we have a look at 3648, and this is where modern technology is a gift because we can enlarge this. You might not be able to read what is on the document, but you should find an email there in green, which is dated 11 January 2024. This is from Mr Zahmoul to Ms Marsh. And Ms Marsh is the General Counsel at Coinbase. And you can see there again, at the third paragraph,

“The divorce proceedings are unfortunately continuing. My wife maintains her stance that I possess multiple Coinbase accounts. Although I have repeatedly confirmed with your customer support team that I hold a single account registered under the email karim@zahmoul.net, regrettably, I am unable to provide documented proof from the support interactions. In light of this, I would be grateful if you could reiterate, as previously suggested, to Withers, the details of any and all accounts.”

Then he goes on to say,

“For the sake of clarity, I initially opened an account with Coinbase in 2014 using the Gmail address which was based in the US. That account has since been closed and all funds were transferred to the karim@zahmoul.net.”

So he has given those details and we can see at 364 a response there -- sorry, chasing again from Mr Zahmoul. At the top of that page, 3647:

“Dear Mr Zahmoul, we confirm that we have forwarded on your request to our support team. They will be in touch.”

Mr Zahmoul giving all the details there, again repeating his request. He requires confirmation from Coinbase for the following addresses, and these were in respect of specific questions that had been asked. Further requests, scrolling up again at 3646. And at 3648, which I think I have missed, so I apologise, at 3646. I am sorry that is right. We have got the Coinbase support team there:

“Thank you for the patience. This is to officially confirm that the below wallet transactions are linked to you...”

It gives the wallet addresses as part of that ongoing commitment. They ask for a survey. So they have responded and, as I understand it, Coinbase have also given a complete run of all the statements that Mr Zahmoul has ever had or used with them at any of his addresses?

A. Yes.

A

Q. And you have seen those?

A. Yes.

B

Q. And the same is true of Gemini, an account which Mr Zahmoul used to operate. And you all know there is an argument about whether that account belongs to him or his sister now, but you have also seen 100% of all of the transactions he or anybody has ever carried out on that account, have you not?

A. Yes.

C

Q. And also Xapo, which is the account where Mr Zahmoul found lost Bitcoins -- you have seen every single transaction he have ever used on the Xapo account from the date it first transacted to now?

A. Yes.

D

Q. Now, whilst all the accounts that he has, or as Mrs Zahmoul might say that he admits to having, Mrs Zahmoul found an expert who was able to find associations between his account and other accounts that he suspected might belong to Mr Zahmoul, and that is the CypherBlade expert, Paul Sibenik, who gave a list of accounts that he thought Mr Zahmoul might be connected to. Do you remember that?

E

A. I do remember seeing it, yes.

Q. He effectively provided a list of accounts that he thought you should investigate and we can see at 2135 -- I am afraid this is in a completely separate bundle, but you might want to keep the one you have got open, open.

F

MR JUSTICE MacDONALD: Sorry, Ms Campbell, which page again?

MS CAMPBELL: 2135. I am not sure, Mr Pinto, that you will have seen this. This is a detailed account that Mr Zahmoul gave in response to the allegations made by CypherBlade. So, it is sort of happening outside of your arena, and I am not sure you have ever seen this account?

G

A. Forgive me 2135.

Q. Yes, you should see a written statement with a paragraph 31, "Other crypto account allegation"

H

A. Yes.

Q. So CypherBlade put to Mr Zahmoul, a list of accounts that had somehow touched his accounts that he had declared. And Mr Zahmoul understands that that had happened because they carried out a chain reaction analysis and that threw up names of accounts

A

that might be associated. Is that your understanding? Do you recollect that from Mr Sibenik?

A. I partially recollect but I didn't (inaudible)

B

Q. Yes, and they have presented a list of connected or possibly associated accounts, and these were -- and we can see them all listed here and I am just going to reference them so the judge can see them, but you will be able to follow -- Binance, Gate.io, OG, OKX, and then further down at 32, Bitfinex. and then at 33, Fittrex, Bitwire, Blockfills, Changelly, Cumberland, Indodax, Poland, Niaux, Uphold and Xapo?

C

A. Mmh.

Q. And these were the specific accounts that CypherBlade had come up with that they wanted verification to be carried out about. And my instructions are that Mr Zahmoul was able to trace back all the accounts that he had ever had, and proof of those that were listed, whether he had an account with them or not. So, he gave a conclusive report to each and every one of these accounts raised. So in respect of Binance, Gate and OKX, those first three there, he used to have accounts with them and he was able to provide all the statements for them. Were you aware of that?

D

A. Yes.

E

Q. And there was nothing in those statements that suggested he was hiding coins or had other undisclosed accounts. Is that right?

A. Not from the analysis I had.

F

Q. And he was able to find... As I understand it, he also said that he was happy for you to log on and check those in his presence and you were actually able to double check yourself if you wanted to?

A. Yes.

G

Q. The Bitfinex, he was able to produce the statements. In fact, as I understand it, Mrs Zahmoul had already produced the statements. She kept hard copies. And you could see that that account had never been used. Is that correct?

A. (No audible response)

H

Q. He was able to produce Bittrex accounts, and that showed that the account had not been used since 2015. Do you recollect that?

A. I do.

Q. And in fact, Bittrex, I am told, was an account that collected Paycoins And Paycoins are a currency that were promoted by the founder, who has subsequently been convicted of

A

fraud. And those Bitcoins are effectively floundering in accounts and cannot be accessed by anybody. Is that right?

A. That's correct.

Q. So there is, I am told, 650 Paycoins there, and they are worth about \$2, but you cannot access them or use them. Is that correct?

B

A. That's correct.

Q. But the evidence that he was able to produce showed that he had not touched that account since 2015 anyway?

C

A. That's correct.

Q. He was able to produce evidence to show that he had never had an account at Bitfire(sic). He had evidence to show that he had never had an account with Blockfills. And he had evidence to show that he had never had an account at Changelly?

D

A. Yes.

Q. And you were satisfied about that.

Q. In relation to Cumberland, I understand that Mr Zahmoul wrote to them, but they never replied. He says, and he explained to me, and I am going to ask you if this is correct, Cumberland is effectively an institutional platform. So, it is really not for individual traders or bankers or users; it is for corporate institutional platforms. Is that correct?

E

A. From my understanding, that's correct.

Q. So it might not be surprising that they have not responded to a single person asking for details of their transactions. And he was able to produce evidence that Indodax had never had an account with him; and that Poloniex had never had an account with him. I am told that CypherBlade then found that Poloniex was connected to a platform called Poloniex Circle, and Mr Zahmoul was also able to confirm through them that he had never had an account with them either. Is that correct?

F

G

A. I don't recall the later of that, but ----

MR MOLYNEUX: My Lord, are these questions for the expert because it sounds like reading his statement. I mean, we can all read what he says in his statement, but I am not sure whether these are directly questions which are requiring this gentleman's expertise.

H

MS CAMPBELL: My Lord, the whole point of this is, as I have made clear, proving a negative is very difficult. Mr Pinto has not been able to explain to the court that he has

A

looked at all of these other accounts as well. You have been drawn to the accounts where there is activity ----

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- and some of the transactions. It must be fair for Mr Pinto to also say the things that threw nothing up as a result of his research.

B

MR JUSTICE MacDONALD: Yes. Thank you.

MS CAMPBELL: (To the witness) And penultimate, Uphold, Mr Zahmoul was able to show that this was an old account that had been closed many years ago.

C

A. Yes.

Q. So that left two accounts, but there were questions about Xapo and Gemini. And we know that the Xapo account, Mr Zahmoul says that he was unaware that he had any coins there, and I am going to ask you to look at that. Can we have a look at 2280, please?

D

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: This is Mr Zahmoul writing to Xapo to find out if he had an account with them. And Mrs Zahmoul will no doubt say to the judge: well, he knew he had an account, but he was hiding it -- and that is obviously a matter for the judge. He will have to make a decision about that. But we can see at 2283, this is a letter going to the corporation or to the platform. If we scroll upwards to 2279, we can see that that is the Zahmoul.net address, and the one we just looked at was the Zahmoul@gmail address. And at 2283, let us look at the following sequence, 2281, we can see the Gmail address.

F

“We are sorry to inform you our service is no longer available. Rest assured your funds are safe. Do you have residency outside the EEA? We would love you to reactivate your account.”

And then we can see it 2287... If I can just take it to 2284 first:

G

“The spreadsheet you sent seems to say I transferred the balances in 2020 when I did not know I had any balances and did not have any access to my account. Could you please explain the entries?”

And they say down the page at 2285:

H

“The balances transferred were internal transfers within your account when our business migration occurred.”

And so there are transactions obviously said that they recognise were carried out by the company rather than by the individual. Can we then go and have a look at the Xapo

- A account, which is the comprehensive account at 2287? I am sorry if you are able to turn that and read it. Is it clear enough for you, Mr Pinto?
- A. It is. Thank you.
- MR MOLYNEUX: I think I will need new glasses.
- B MS CAMPBELL: Do this job and you need them stronger over the week, I can tell you. (To the witness) We can see the whole transaction history, so this is every transaction that Xapo records for Mr Zahmoul, and we can see the third column that shows the dates, and they are slightly out of order, but if we work from the bottom up, the first two
- C entries are the migration. That is the business transferring, and then "BO", which looks like an internal transfer. If we look over to the far right, it's a tiny, tiny fraction of a Bitcoin. I am told that is likely to be a fee. But we can see the activity starts on 5 November 2017, that is the third line up, and we can see £500 if we look across?
- A. Yes.
- D Q. And then we can see some trading. And it starts from that date, 26 October, 16 June 2018. And we can see if we follow up the trading there, it ends three lines -- four lines from the top, the last receive on 7 November 2017. Do you see that?
- A. Yes.
- E Q. And that is all the transactions. So Mr Zahmoul did not have any activity on this account or anybody had any activity on this account from 2017?
- A. Correct.
- F Q. Mr Molyneux asked you about the multi-bit wallets that have been examined. Again, the multi-bit wallet was brought to your attention, as I understand it, by CypherBlade, and you looked at a number of wallets associated with that to try and work out if again there were any links to anything undisclosed?
- G A. Yes.
- Q. My instructions are that Mr Zahmoul was able to give you, again, a comprehensive account of every single transaction that went through that multi-bit wallet?
- A. In my recollection, yes.
- H Q. If we look at 2137, it is a fact in Mr Zahmoul's statement, He explains the trading from this wallet. And if we start at 43, and I am reading this so the judge can follow where we are, but also because you have not seen this, but this is in relation to the multi-bit wallets that CypherBlade raised. And he said:

A "I have made reasonable efforts to reconstruct all my cryptocurrency transactions since my first involvement in 2015. In early 2015, my friend Mike Dee gifted me two S4 Bitman Miners that he arranged hosting for at Washington State as part of a mining farm."

He goes on to refer to that. And he says, my first wallet for collecting the mined bitcoins was..." -- and we will just take the first few letters -- "1GEEQ."

B A. Mmh.

Q. And then he gives us evidence of that wallet, 1GEQT, and we can see that at 2290. You should have there the wallet statement for that Bitcoin account, and we can see there: wallet address, 1GEEQ, so that is consistent. And then we have got a full account from 3 January 2015 right through to 14 March 2023. Yes?

C A. Yes.

Q. And it shows the ending balance. There is about four dollars and something left in it. And then we can see every single transaction that has been carried out, and we can see that it was receiving coins, as Mr Zahmoul explains; it was mining coins and it received coins all the way down, and we can see: mining, mining. We go over the page until we finally get to page 2297, and then we can see some money being sent out. Are you following?

E A. Yes.

Q. And that is the end of it. That wallet was never used again. So he has revealed that wallet, shown every single transaction in it, and that wallet was never used again, which we can tell from the start of the communications because we have seen everything up to 2024?

F A. Yes.

Q. Then he tells us back in the statement, he had a second wallet, and if we look at 2299, this is the second wallet that he refers to from the mining operation, and this is called 1LVSG. Again we can see the period of time from 2015 right through to 2023 and it shows one dollar balance, \$1.42 balance, and we have got every single transaction. What we can see is that the money from the old wallet that we have just looked at is transferred into this wallet. So there is nothing floating. It has gone from the old wallet to the new one?

H A. Yes.

A

Q. And then we can see there are some payments in as this wallet then begins its own mining experience, and that carries on. We will just scroll ahead and fast forward pages until we get to page 2311.

A. Yes.

B

Q. And these are then actions, and these are 17 transactions that we can see, everything highlighted here, and Mr Zahmoul was able to explain every single transaction. And we will come back to that. It is 2137 in the narrative of his statement, but what we can see, and I just want you to confirm this, he is able to identify every single one of those 17 transactions and where they go. And what it shows is that some coins went to his Coinbase account and we were able to marry those transactions. Do you agree?

C

A. Yes.

Q. Some went to the Gemini account, which we will come back to because we have looked at that and we can see them coming in?

D

A. Yes.

E

Q. So you can trace those. And some went to a wallet, which I think has been referred to as an orphan wallet called 1LWMC4. And we can see that, for instance, at 2316 -- just so the report can keep up -- after 2312, we have then got Coinbase receipts proving receipts of all the transactions I have just been talking about. So that is showing the money going to Coinbase at 2313, the same at 2314. This is proof of all of those 17 transactions. And then at 2316, we can see some of the Coinbase money going to a wallet and you can see at the top there 1LVSG and that was 3.59 Bitcoin sent there.

F

This is outside of the known exchanges that we have been talking about. This is a wallet so this might cause some concern for Mr Zahmoul because it has not been effectively referenced but we are able to see all of the money that is paid into that account -- sorry, out of that account, out of the mining account wallet, and Mr Zahmoul explained that the orphan wallet, the 1LMC4, has been lost and he has lost the bitcoins that are in that. Is that, in your experience, something that happens frequently or infrequently? How often does that happen?

G

A. Again, I can't give a definitive number on how often it happens, but it does happen.

H

Q. And in your experience, it happens to individuals. I mean, we know in this court that Mrs Zahmoul lost one too.

Q. It happens to, I would say, it happens more to individuals who have a lot of dealings with crypto and have them numerous wallets.

A MR JUSTICE MacDONALD: Is there a way of keeping a central -- if you are a busy investor and you have lots of wallets, are there ways of keeping a central register and what you have or do so things tend to become distributed around the place by the nature of the investment?

B A. You can buy -- there are devices you can buy so you can manage all of it into essentially one wallet.

Q. Yes.

A. The security issue of that is if you lose the keys to access that one specific wallet or something happens and it gets breached, then ultimately all of your assets are breached in one hit.

Q. Okay.

A. So what you tend to find with for example crypto exchanges, or large local crypto investors, is that they separate all their assets out to minimise the risk.

D Q. I see, thank you.

Q. And a quick search on Google tells us that about 30% of Bitcoins are lost, it says on Google. I do not know if that figure is familiar to you, something like 600 billion?

A. 6 million.

E Q. Six million bitcoins ----

MR JUSTICE MacDONALD: I am not entirely sure, Ms Campbell, that Google ----

MS CAMPBELL: That is probably fair.

MR JUSTICE MacDONALD: -- is the most reliable in terms of evidence.

F MS CAMPBELL: (To the witness) With the exception of that orphan wallet, we can trace money going into that orphan wallet, and I accept that there is no proof that that is not hidden in Mr Zahmoul's safe somewhere with access to it, but apart from that, everything else was traced?

G A. Yes.

H Q. I want to look at the specific transactions in the report that you have been taken to. Can we have a look at transaction 6 on page 12 of your report? Now Mr Zahmoul initially, looking at the dates, assumed this was a Bitcoin he had given to his daughter, his younger daughter, because it was transacted on 1 June 2019, and his daughter's birthday is on the 31 May and he assumed that is what it was. But he was later able to confirm, and we see this on page 14, that he believes it was payment out to Olivia Molina, his former girlfriend, and it was a payment to her, he said, in repayment of cash she paid for

A

him for expenses elsewhere in Dubai, as I understand, for repayment of \$8,500. You are aware of that?

A. Yes.

Q. And if it is not possible to prove the recipient's details, contemporaneous evidence is going to be helpful. Would you agree?

B

A. Yes.

Q. So if, for instance, I say to you, this is a bitcoin leaving my account, going to an undisclosed wallet, that it was sent at 17:55 1 January 2024 and at 17:55 on 1 January 2024 here is a WhatsApp message from my girlfriend saying, "Thank you very much for the \$8,500", it is not conclusive, but it is certainly good evidence?

C

A. Yes, I would say it is -- although it might be circumstantial, it would circumstantially add up, yes

D

Q. And if we have a look at page 16 of the report, you refer here to the wallet address 1GQY, and you refer to the fact that it is an address generated and part of the cluster of root addresses connected to the 1AWK account, which we are all referring to at the moment as Ms Molina's account, Olivia Molina's account.

E

A. Yes.

Q. And you comment that that has made 57 transfers, 1300 draws, 26 deposits and 39 odd Bitcoins have been traced through the wallet which is equivalent to \$768,000 dollars. Can I just ask you two things? The first is, that exchange rate of Bitcoins to dollars, is that reference to the value when the Bitcoins were passing through or is that just the current value today?

F

A. That's the value at the time.

Q. So each time each Bitcoin went through you have effectively given it a value and then added all of the values of the Bitcoins at that date of exchange?

G

A. It would have been at the time, yes.

Q. And over what period does that ----

A. I would have to look that it was during the life period of the route address.

H

Q. So that could be anything from 2008 to now?

A. It could be, yes.

Q. So it is difficult to tell whether that is a lot of money or not a lot in the scheme of things, is it not?

A. Correct.

Q. And look at page ----

MR JUSTICE MacDONALD: Just one moment, Ms Campbell. Just on the question of the contemporaneousness of other evidence, what is the time -- is there a central time zone used in terms of transfers, because if one looks at the text message, it is relatively contemporaneous, 13:42, with the transaction time on the Coinbase to 1GQY. The confirmation action in the body of the WhatsApp is at 14:42. Are there various different ----

A. Yes, generally they use Eastern Standard Time.

Q. Okay. Thank you.

MS CAMPBELL: But we can see the date, certainly on your page 16, the time stamp: 21 July 2019, and then we can see the WhatsApp again at the same date, 21 July 2019. I am told on page 16 the time stamp ending 06Z is Euro time -- time zone. GMT. GMT-Zulu, I am told. I am learning moment by moment! And then if we have a look at page 23, this confirms that the money transferring through this account is not a Coinbase account, or linked to Mr Zahmoul's Coinbase account. So we clarified that these associated things are not Coinbase, but the query that Mr Molyneux is raising is: well, these nexus points of interest, the ones we have looked at -- 1NPX on page 21 and 15HYK -- these are somehow associated, and the suggestion is if they are associated, they could be Mr Zahmoul's. But they could be anybody's, could they not?

A. Yes.

Q. Absolutely anybody's. However many million people there are in the world trading Bitcoins, it could be one of them?

A. It could be.

Q. And as you, I think, assisted the learned Judge earlier, the fact that an associated address has a million or 40 million or four trillion dollars' worth of trade is simply an association with an account that has vast sums going through it?

A. Yes.

Q. So, if I sold a Hermes handbag to a very wealthy Saudi princess whose family had millions and billions of pounds in their crypto account, the fact that I sold my Hermes handbag to her for one bitcoin (or whatever figure it would be) I would be seen as associating with that Saudi princess and her family's Bitcoin recipient address, but it would not mean to say I had ever touched a penny of that money?

A. Yes, that's correct.

A Q. We know in relation to transaction 10, which is on page 24... Sorry, 25 -- that originally Mr Zahmoul thought this was Olivia Molina's and she thought so too, but we know from the evidence given when Mr Zahmoul made further inquiries, and we see this on 29, that this was in fact from Mr Kassis at Forte -- and we have looked at that at page 29. Again, although it is not definitive, the email on the left, which shows the exact address, and this is the 3DAJ address back in 2019, and the consistent transfers, it is almost certain, is it not, that that 3DGAT transaction was going to Mr Forte in 2019 as he records here?

B A. Yes. Taking into account the date of the email, the date of the transaction, that very well might be, yes.

C Q. Unless there was a very careful fraud afoot in 2019 that involved an FCA regulated institution to assist Mr Zahmoul in lying, the likelihood in your experience would be, is it not Mr Pinto, that the address consistently shown here and on the transaction are probably definitive?

D A. I would agree.

Q. Over the page on 30 we looked at transaction 11 and 12. And these are payments in, five Bitcoins in each transaction, so 10 in total. And Mr Zahmoul confirmed that this was effectively payments in from Olivia in repayment of the debt.

E MR JUSTICE MacDONALD: Sorry, which page?

MS CAMPBELL: Page 30, my Lord. We see there in the text Mr Zahmoul explained as “Olivia, Bitcoin exchange €85,000 paid from UBS”. So, he made a payment of €85,000 and she effectively owed him that money and his account was that she paid him in Bitcoins instead of cash. Now again this is a matter for the judge. We will come on to the UBS transfer to show that but assuming that that is right, that there is a payment from my client for the benefit of Olivia at that time of €85,000, he says this is her repaying in Bitcoins and we see from the detail you have given in red it shows that the sending cluster is 1AWK. So we know that is coming from -- or we assume that is from the account we associate with her. You say here it would not seem reasonable that Mr Zahmoul would send himself Bitcoin from an external wallet. Mr Molyneux said to you, well, you are not giving evidence as an individual. This is not a question for an expert. But your view was, and you committed it here, that in your experience, it is not likely that a recipient or an owner of a wallet and a platform would send themselves money from another account. It would not make sense.

H A. Unless you're amalgamating it, then I would not see any reason for it.

- A Q. Yes. And we look over the page and we can see these screenshots that have been given to try and verify the payments and we can see the data of these. So again, contemporaneous. These are not recent. We can see the first screenshot is 2019, 28 October, and we can see money: "Send me the bank account you want to receive the money of the Bitcoin", we can see in that message. She then gives the detail and we can see on 31 October question; "Can you show me how much you sold the 10 bitcoins?"
- B He says, "Never sold those." And she says, "You told me you did." And then over on to the next message on 31 October, the same date, he says "I never told you I did." And then he says, "I took the prices that you set up to do the conversion, 31.93 bitcoins."
- C And then we see a dollar figure underneath. We can see further down in that same window: "History: received Bitcoin, 5 bitcoins", and then a second Bitcoin. That is 31 October 2019. And over the page, we can see "received" by Mr Zahmoul. And actually that last window, if you can see in close up, it is very difficult to see on the paper. Let me just find it on my screen here. Bear with me. In those tiny windows in white that you can see on the far right, we have got the payments of the Bitcoin on 26 October 2019, the top one, and the same date, 27 October, the second one, and those are entirely consistent: 27 October on page 30. In fact one is 26 rather than 27. Can you account for that, Mr Pinto? Could you understand that?
- D A. It may have been a delay when it was verified on the blockchain.
- E Q. Yes. It looks like it's 8.32 p.m. on the 26th, and then 5.40 p.m. -- that is a day apart, but they look to be consistent. And in fact, in relation to those, we know on page 32 that you were able to verify the cluster of the sending address as 1AW. So not only do we have the 2019 emails between the individuals, but we know that it is still that 1AW account?
- F A. Yes.
- G Q. Then on page 32, at the bottom there, we have those transactions 14 and 15 that Mr Molyneux referred to. This is 5.01 Bitcoin being paid in, and we know that there was an argument between -- well, there was a broad argument between Mr Zahmoul, Mrs Zahmoul and Ms Molina about this, and we can see this at 3981. I do not know if you are able to find that page in the bundle at 3981. Just so that you understand where this comes from, Mrs Zahmoul and Ms Molina got involved in a conversation together and Mrs Zahmoul understood that her husband owed Bitcoins, 5 Bitcoins to Ms Molina. And because of the circumstances at the time, Mrs Zahmoul encouraged Ms Molina to chase
- H

A

her 5 bitcoins, and that is what we are looking at in this conversation here. And you can see at the top of page 3981,

“So you gave him the ownership right to your assets, 5 bitcoins, and he did not send you the funds.”

B

And a bit further down,

“You have been chasing him to give you the proceeds of the sale of your 5 Bitcoins for three years.”

C

So it certainly looks as if Mrs Zahmoul recognises that those Bitcoins belonged to Ms Molina. That is contemporaneous evidence and we have seen the date of that. Scroll down on 16 January 2022, this is Olivia Molina WhatsApping my client, giving an address, “That's Bitcoin, right?” He says: “Just sent you €20.” she says “\$21.” He says: “Okay, sending you the balance...” -- and here it is, €52,000 odd. And the price for Bitcoin, you can see there the reference and the date. And further on over page 3983, Olivia Molina saying on 17 January, “€60.” And this is, Mr Zahmoul will say, contemporaneous evidence of these transfers between him and Ms Molina that are in addition to the 1AWKG address. So he says to the judge, not only have you got this cluster address, which we know is Ms Molina's, but I have got this contemporaneous conversation. And I think from your position, Mr Pinto, what you are saying is that looks consistent, but for the moment, you need to be satisfied that that 1AWKG address is Ms Molina's. You need something to tie it to her?

D

E

F

A. Correct.

Q. Because it could be a secret address that Mr Zahmoul is using. And we do have evidence of that.

G

MR JUSTICE MacDONALD: And again, because there is no way of saying without the surrounding evidence who the owner is ----

A. That is right.

Q. -- there's simply no way of knowing that.

H

MS CAMPBELL: Sorry, Mr Pinto, I have lost my page reference to this. You will just have to give me a moment. (After a pause) I am so sorry, my Lord. Would you forgive me. I have actually lost the reference and I need to find it; it is important.

MR JUSTICE MacDONALD: Yes.

A MS CAMPBELL: Okay, look at 3960 for me please. This is evidence that Mr Zahmoul has provided to verify the transactions he says he made to Ms Molina. We see one here, this is a WhatsApp exchange in February 2018 and it is to Olivia Molina. It is a spent Bitcoin there on the 6 February 2018. If you just follow down you can see their conversation. And she is asking for... He says, "GD, MENT FXY." She says: "Too many numbers." He says: "No, not that many numbers. Just try to focus a little." And he is referring to Bitcoins he is about to send." "Mmh okay." And then go down, she is referring to it being her first Bit Valentine. "Which wallet is this", he says, "Bread." And then if we go over the page to 3963, we see on 12 July 2018, Olivia Molina giving her address to receive the Bitcoins, the Valentine Bitcoins?

A. Yes.

Q. So you have her letter, which is contemporaneous to this trial, but we know has an error in it because she said she was the sender of the four Forte accounts. So her letter, her contemporaneous letter today is worryingly not reliable. But what we do have are WhatsApps from 2018 that categorically make it clear that that is Bitcoins being sent by my client to Olivia at that address, and that is entirely consistent with the evidence that Mr Zahmoul has given to you about those transactions with Ms Molina, is it not?

A. That is correct, yes.

Q. In your report at page 34, you refer to the helium hotspots. And he used Bitcoins to purchase helium hotspots. It is probably something that I do not need to trouble you too much with, but as we understand it -- you can let me know if you know anything about this -- Mr Zahmoul has explained that he and two friends were mining helium, and that was a separate private activity that he did with his friends. But you have not had any particular investigation into that, have you?

A. That's correct, yes.

Q. But the helium, I am told, and the Kia, which are cryptocurrencies that Mr Zahmoul holds, small amounts, and they are on the schedule, he says they are a bit more unusual. They are sort of more off-piste than the regular standard Bitcoins. Is that a fair description?

A. Yes.

Q. And they are not recognised by the regular platforms like Coinbase?

A. I'm not sure if they are recognised. I can't answer that.

A

Q. So just to summarise, all of the documents that you have seen from 2015 to date, all the declared transactions that Mr Zahmoul has carried out, are all, first of all, entirely comprehensive. There are no gaps?

A. Correct.

B

Q. In none of that documentation were you able to detect any undisclosed or hidden or inconsistent assets?

A. Let me rephrase that. "No" is the definitive answer. But there were queries along the way that allowed me -- well which I needed to prompt Mr Zahmoul (inaudible) additional items.

C

Q. And as I understand it, he gave a batch of information back in July. I am told that after your last meeting in June 2022, you get his solicitors there and HFC sent some information on 1 July 2022?

A. Yes.

D

Q. And then you had information this year with the updated stuff?

A. Yes.

E

Q. And now you have had an opportunity to look at that information, the question I asked, are you content that, having looked at that comprehensive statement, there is no evidence of undisclosed or inconsistent trading or assets?

A. I am happy there isn't.

Q. Thank you, Mr Pinto.

F

MR JUSTICE MacDONALD: Yes. Thank you, Mr Pinto. That has been extremely useful in what is a complex and relatively new area. I am most grateful to you for your evidence. I can now release you from your oath and let you leave. Thank you very much.

A. Thank you.

G

(The witness withdrew)

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: My Lord, I am looking at the time.

MR JUSTICE MacDONALD: Clearly, I do not think it would be appropriate to move to the next one. So, I will rise now and I will sit again at 10.30 tomorrow morning.

H

MR MOLYNEUX: Thank you.

(The court adjourned until 10.30 on 21 February 2024)

A

B

Marten Walsh Cherer hereby certifies that the above is an accurate and complete record of the proceedings or part thereof.

C

Digital Transcription by Marten Walsh Cherer Ltd
2nd Floor, Quality House, 6-9 Quality Court, Chancery Lane, London WC2A 1HP
Tel No: 020 7067 2900. DX: 410 LDE
Email: info@martenwalshcherer.com
Web: www.martenwalshcherer.com

D

E

F

G

H